CG Power and Industrial Solutions Ltd. (CGPOWER)

Conference call transcripts, oldest-first. 14 call(s). Generated 2026-06-08.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Aug 2023

(no extractable text — likely a scanned image PDF)

Call: Oct 2023

(no extractable text — likely a scanned image PDF)

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Call: Jul 2025

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Earnings Conference Call”

July 24, 2025

MANAGEMENT : MR. AMAR KAUL – MANAGING DIRECTOR & CEO
MR. SUSHEEL TODI – CHIEF FINANCIAL OFFICER
MR. MARAIS NEL – EXECUTIVE VICE PRESIDENT ,
DRIVES AND AUTOMATION AND INTERNATIONAL
MOTORS BUSINESS
MR. GAURAV MAKHIJA – VICE PRESIDENT ,
SWITCHGEARS & EPD BUSINESS
MR. AJAY JAIN – VICE PRESIDENT , TRANSFORMER
BUSINESS
MR. CHIDAMBARAM BALAKRISHNAN – VICE
PRESIDENT , RAILWAY BUSINESS
MR. JATINDER KAUL – EXECUTIVE VICE PRESIDENT ,
MOTORS BUSINESS (INDIA SUBCONTINENT)
MR. SRIRAM RANGARAJAN – EXECUTIVE VICE
PRESIDENT & HEAD (CONSUMER PRODUCTS
BUSINESS)

MODERATOR : MS. RENU BAID PUGALIA – IIFL CAPITAL

Moderator : Ladies and gentlemen, good day, and welcome to the CG Power Q1 FY '26 Earnings Conference Call.
As a reminder , all participant s’ lines will be in the listen -only mode , and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference ove r to M s. Renu Baid Pugalia from IIFL Capital. Thank you, and over to you, ma'am.
Renu Baid Pugalia : Thank you. A very good evening, everyone. We are here for the 1Q FY '26 Earnings Conference Call of CG Power and Industrial Solutions.
From the Management Team , we have with us today Mr. Amar Kaul – Managing Director & CEO , Mr. Susheel Todi – Chief Financial Officer , Mr. Marais Nel – EVP (Drives and Automation & International Motors Business), Mr. Gaurav Makhija – Vice President (Switchgears & EPD Business), Mr. Ajay Jain – Vice President (Transformer Business), Mr. Chidambaram Balakrishnan – Vice President (Railway Business), Mr. Jatinder Kaul – EVP (Motors Business – India Subcontinent) and Mr. Sriram Rangarajan – EVP & Head (Consumer Produc ts Business).
With these words, I now hand over the call to Mr. Amar Kaul for his “Opening Remarks ”. Thereafter, we can start with the Q&A. Thank you, and over to you, sir.
Amar Kaul : Thank you, Renu , and thanks, everybody there. Good evening, everybody, and welcome to the CG Earnings Call today.
Let me start with the summary of results :
We have a very strong start of this fiscal year with all -time high quarterly stand -alone revenue and PBT. After accounting for exceptional items, further, we have also started seeing improvement in our operating margins.
Our Q1 sales grew by 25% year -over-year, profit after tax grew by 23% and order intake grew by 56% year -over-year, making it one of the strongest q uarterly performance in recent times.
Further, our order backlog remains robust at INR 11,971 crores and continues to be on the upward trajectory, giving us strong revenue visibility.
Now as I go deeper into Q1 stand -alone performance :

We achieved aggregat e sales of INR 2,643 crores, recording a growth of 25%. Profit after tax, as mentioned, was high with a growth of 23% at INR 286 crores as against INR 232 crores Q1 FY '25.

Free cash flow generated for the quarter was INR 339 crores, which is about 119% o f PAT and return on capital employed annualized for the quarter was 35%. Order intake for the quarter was INR 4,764 crores, which is 56% growth; and our unexecuted order backlog as of end of the quarter, 30th June 2025, was INR 11,971 crores, which is approximately 70% higher year -over-year.

Now moving to the segment -wise performance starting with Industrial :

Aggregate sales for the quarter was higher at INR 1,574 crores, recording a growth of 16% year -over-year. PBIT was at INR 172 crores as against INR 182 crores in Q1 financial year '25. And margin changes that you see there is due to rise in commodity price s, which could not be fully passed on to the customers and the increasing share of Railway business as well as the mix change there within the Railway business is what impacted us. Order for the quarter was at about INR 1,269 crores and the unexecuted orde r backlog at end of the quarter was INR 2,920 crores, which is about 19% up year -over-year.

If I jump to the Power Systems Aggregate sales for the quarter was at INR 1,070 crores with a growth of 43%. Year -over-year, PBIT was at INR 225 crores, which is 21% of sales as against INR 149 crores in Q1 last year. Margins were higher year -over-year on account of better pric

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realization , driven by robust underlying demand and better operating leverage. And order intake for the quarter was INR 3,495 crores, 11% growth year -over-year, and unexecuted order backlog as of 30 June 2025 was at INR 9,051 crores, which is 97% up year -over-year.

With that, we can go deep dive into our stand -alone performance, and I will now move to the consolidated performance :

At the out set, I would like to share that our consolidated performance for the quarter for the first time includes the operational performance of Axiro, which if you would remember, houses our Radio Frequency Semiconductor Components business acquired by us from Ren esas and other affiliate entities during the last year.

Aggregate sales for the quarter were up at INR 2,878 crores at a growth of 29% year -over-year. And profit after tax was 11% higher at INR 267 crores against INR 241 crores last year same quarter. Margin impact due to the investment in CG Semi, the impact was approximately INR 11 crores and also lower absorption on the fixed cost in Drives and Automation business in Europe on account of lower sales during the quarter, even though the bookings are se eing the upward trend now.

Operating cash flow generated for the quarter was INR 441 crores, which is 165% of profit after tax, and INR 383 crores CAPEX done by the subsidiaries, primarily CG Semi. And the return on capital employed for the quarter was 33% . Order intake for the quarter was INR 5,138 crores, 62% growth year -over-year and unexecuted order backlog as of 30th June 2025 was INR 13,072 crores, which is 82% up year -over-year.

Now moving to few notable events for the last quarter ,

CG got a large order for supply and servicing of 765 kV transformer package from Power Grid Corporation, valuing approximately INR 641 crores, making it the highest single order received by Transformer business in CG. The order is expected to be completed over a pe riod of 18 to 36 months, even though I think we can do it much ahead of time.

G.G. Tronics, subsidiary of the company received a prestigious order towards Stationed Train Collision Avoidance System and referred to as KAVACH for about INR 148 crores. The sc ope includes supply, installation, commissioning of station KAVACH and other associated systems in North Western Railway s executable over a period of 2 years.

CG secured the largest single order of INR 244 crores for EHP business from Techno Electr ic for supply of packaging instrument transformers, circuit breakers and also the lightning arresters.

CG launched and successfully completed QIP of equity shares and raised about INR 3,000 crores, and the issue was opened on 30th June 2025 and closed on 3rd July 2025 . It was oversubscribed by more than 3x and saw the participation from Indian and global marquee investors.

With this, I will conclude my opening remarks. Unaudited financial result s with detailed notes are available as part of the stock exchange filing as well as on our company website.

Thank you for listening in, and over to you, Renu, for Q&A.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ravi Swaminathan from Avendus Spark . Please proceed .
Ravi Swaminathan : Hi sir. Thanks for taking my question , and c ongrats on a good set of numbers. My first question is with respect to the Industrial segment . We have seen around 15% kind of revenue growth during this quarter. If you can give a flavour of how the growth was in certain key sub products like LT Motor, HT Motor; and even within the railways, the regular propulsion systems for locomotiv es, the ones for Vande Bharat; how the revenue has panned out and visibility for KAVACH orders; and also exports. If you can give a flavour on how the growth is trending on all of the sub segments , it will be

really great?
Amar Kaul : Yes, sure. Thanks for the question. So on the Industrial segment , if you see the growth has primarily come from the railway side. Having said that, the good news for motors also, even though if you look at the indices for Industrial, both for IIP as well a s the EMA data showed the negative trend for the quarter as well, which has been consistent for the last couple of quarters. But good news is that Motors business went up, of course, not on the very high digits in growth, but then, yes, some decent progres s on that.

So which shows that the efforts and the actions we are taking in the business, not only from the commercial point of view in the market as well as the operational OpEx piece of work that we are doing has started showing some bit of results on th at.
And drives in automation business, as I mentioned. For the subsidiary, the revenue numbers are not so good there, but the good news is that bookings have started flowing in, which means it's just the execution now. So yes, some bit of improvement you w ill continue to see there.
Ravi Swaminathan : Understood. And with respect to the KAVACH order, last year, we got around INR 800 crores of orders. And this year, first quarter, around INR 180 crores of orders we have got. What kind of run rate should we kin d of look at every year annually over the next few years for KAVACH? Should it be in that INR 800 crores to INR 1,000 crores kind of range?
Amar Kaul : See, KAVACH, I would say almost 99% focus is on the execution piece of it. And we are almost reaching tha t stage to start executing it now , because the whole process is in process and all the test results have happened. Passenger trials are in progress right now. So we are progressing fairly well on that. So having said that, I would expect every month, at least 100 KAVACH installation commissioning happening , starting in the next coupl e of months there. So that is one piece of it.
And second, of course, I am not giving any guidance or forward -looking statement, but the point is the business opportunity is phenomenal. It's just the strength of our designing and executing these orders on track. So the better we do it on time and at the lowest time of executing and commissioning the KAVACH, both for loc o as well as station, more and more orders we will keep getting.
Ravi Swaminathan : And with respect to the propulsion systems for the Vande Bharat kind of trains, we had last year won a contract from the RVNL JV. Is there more to come from that particular JV? And is there a possibility of securing orders from other people who are executing or other companies which are executing the Vande Bhara t trains?
Amar Kaul : Yes. Of course, I think one is the order that we received, Chidambaram and team, they are busy into designing and executing that order. Having said that, appetite is much bigger. So we are also exploring other opportunities, not only with Vande Bharat, yes, with other partners as well.
Ravi Swaminathan : Got it. And my final question is if you can give a broad split of the Industrial segment ?
Moderator : Sorry to interrupt, sir. May we request you to join the queue again for your follow -up question.
Ravi Swaminathan : Sure.
Moderator : Thank you. The next question is from the line of Jonas from Bir la Mutual Fund. Please proceed.
Jonas Bhutta : Congrats team on a great set of numbers. 2 quick questions. First, what explains the increase in the power segment inflows, which were trending more closer to INR 1,800 crores to, say, maybe

INR 2,000 crores quarterly. They seem to have come in closer to INR 4,000 crores. Are we to assume that this is in anticipation of the new plant going live probably during the year? And if you can explain, given that you have outgrow

n the industry in terms of order inflows, at what incremental margin levels have these orders come?
Amar Kaul : Yes, I think good question on that. So these are across, power sector transformers as well as switchgear included together. Why we a re outgrowing is because we are expanding in terms of

our pipeline, our go -to-market rather than being conservative on requests for quote that we are getting.
We are actually going out in the market to make sure that we are capturing and increasing the pile of pipeline of orders, and that's where the win percentage is also increasing.
To your question specific to margins, yes, they are at decent margin that we would look forward to. So we are not compromising on margins to get more orders.
Jonas Bhutta : Just a continuation, what would be the mix of the power order backlog now between, say, PT and Switchgears, roughly?
Amar Kaul : So see, the split we are not giving, but I can only say that both are trying to beat each other. So it's a good game to have.
Jonas Bhutta : Understood. And the second quick one is on the margins of the Industrial Systems. So either on a Y-o-Y or on Q -on-Q basis, we have seen a deterioration in margins, while you have elaborated what led to that. If at all, you can give us a broad brid ge as to if there was a 300 basis points deterioration on a year -on-year basis, how much of that came through the sales mix impact due to railways and how much of it is because of this raw mat impact?
Amar Kaul : Your question is specific to Industrial or M otors?
Jonas Bhutta : Yes. Industrial. So we have seen roughly 300 basis points of margin deterioration.
Amar Kaul : I would say the majority of the impact is coming from Railways. Because of this PVC clause, which is price variation clause that is there, I think it's a bit complex from Indian Railways. So you really don't end up getting complete inflation back into your numbers. So you keep on getting the impact.
So having said that, what the railways team is doing is also they worked on i2V, which is more of VAV kind of a thing, what can we improvise over and above what you are not able to pass on. As you know, it's a tender business. So back to your question, majority of the impact is from Railways and a bit from Motors side.
And then Motors, as I mentioned last quarter as well, the action that we are taking, we recently increased our prices by almost 5% , starting 1st of July. I think that will start showing up some results in the subsequent months, not immediately, because you take about 2 - 3 months for it to

show up. But yes, we are taking actions on the commercial side for the market and also what can we keep eliminating the non -value -added activity in the system.
Jonas Bhutta : Thank you. I will fall back in the queue. And all the best.
Moderator : Thank you. The next question is from the line of Ankur from HDFC Life. Please proceed.
Ankur Sharma : Hi sir. Good evening. Thanks as always for your time. One question on the LT Motor side, and I know you have been flagging off the fact that the LT Motor market has been kind of stagnant to maybe a marginal decline for maybe 4 -5 quarters. So one, are you starting to see any hints of a recovery ? And I understand we have been growing because of our own initiatives, but more from an industry point of view, when do you believe this growth kind of comes back? Which sectors do you believe need to start firing , to get this growth back ?
Amar Kaul : Yes. Coming back to the LT Mot or question that you had. Yes, market has further deteriorated. So we don't see that revival happening. But as I said, it's positive, but yes, a bit of impact on the margins, which, as I mentioned, we are countering by already increasing the prices in the market effective July.
Ankur Sharma : Okay. And in your view, when do you believe we could star

t seeing some recovery? Is it going to be more second half? Are you seeing any signs there? And also which segment , end markets , you believe could drive that reco very?
Amar Kaul : You mean the market recovery? Again, the market recovery, I cannot forecast. It purely depends on the way it works on the Industrial piece is when the smaller CAPEX starts coming in. Now that we are not able to see in a large way. Yes, a b it of activity we can see, but not too much of it. So that obviously will depend on the sentiments and the mood and how this market will come.
But having said that, we are not 100% dependent. Important is to see which areas or verticals we are not there. T hat's where we are trying to penetrate into. And that we are doing better than the market. When the market is negative and we are still positive, I think that's where the growth is coming from.
Ankur Sharma : Sure. I get it. And just the second one on the Power side, if you can help us on your current utilization levels across your plants? And are you facing any capacity constraints there?
Amar Kaul : On the Power sector?
Ankur Sharma : That's right. On the Power side, on the Power systems side.
Amar Kaul : Yes. I mean the capacity is, of course, the issue right now across the globe, not only in India. And that's why you see huge impetus that we have on increasing our capacities. So yes, so it's in a full acceleration mode. And 2 things. One is the existing p lant getting up to 40,000 MVA capacity that we had already mentioned. So by September, we will be up and running to that ,

from current approximately 20,000 MVA. And also this 45,000 MVA, the work has already started construction for the new plant. That's a lready been up.

Ankur Sharma : Okay. Got it. Thanks.

Moderator : Thank you. The next question is from the line of Aniket from Motilal. Please proceed. Hello, Aniket, sir.

As we have no response, we will move on to the next participant. The next question is from the line of Subhadip from Nuvama. Please proceed.

Subhadip Mitra : Good evening, sir, and thank you for the opportunity. Just wanted to get a sense of if we have to take a view over the next 12 to 1 8 months, how do you see the longer -term margin stabilizing across Power, Railways and the Industrial piece?

Amar Kaul : See, I think it can only get better, in my opinion. And there, I think we can keep talking for the next couple of hours on why do I say that it will continue to go better. And overall, at company level, if you tell me, I think at some stage, we will bounce back to 14%, 15% PBT margins.

Subhadip Mitra : Understood. So do you see the current levels of margins, at least on the Power side, which seems to be the highest traction, that continuing around this 20% -odd levels?

Amar Kaul : It should go even better than that. My aspiration is much bigger.

Subhadip Mitra : Understood. And sir, lastly, I think you had talked about some large potential for exports, especially on the motor side, I think, in the last call. Just wanted to understand what is the progress on that side? Where do you see things moving?

Amar Kaul : No, I think it's progressing well. As I told you, we have been doing the foundational work, which Jatinder Kaul has been increasing and improving on the capacity, working in collaboration with Marais, who has been making investments in terms of go -to-market, having our people in respective regions. So today, if you see we have the presence in Northwest French Afric a, in Africa, even Europe, some of the countries, we have added some of the headcounts to increase on the channel. So the action is on.

And of course, as you know, to see the real effect, it takes a couple of quarters to reach there. So getting partners on boarded , having our people footprint on the role and also having the manufacturing capability building, so th

at all is going on. So good to share that. In fact, when we had the business review couple of days back, I am happy to see the progress we are making in those areas. So yes, good days ahead.

Subhadip Mitra : Understood. Last question from my side. On the semiconductor piece, by when do you expect to start seeing the larger ramp -up and meaningful revenues and bottom line coming from there?

Amar Kaul : So semiconductor, there are 2 portions to that. One is CG Semi and one is Axiro. Now CG Semi is absolutely on track. The mini plant as we had projected, '26, it will start production. And the main plant, which is the larger one, will start produc tion in '27. So we reviewed the project, and I think they are, in fact, a little ahead of the target. So that is going good.

And Axiro, which is our radio frequency chip designing facility, the business that we acquired, in fact, their revenue will start a lready flowing in. Because that was a direct movement and acquisition of this facility.

Subhadip Mitra : Understood. Thank you so much.

Amar Kaul : Thank you .

Moderator : Thank you. The next question is from the line of Richard D'souza from SBI Pension Funds. Please proceed.

Richard D’souza : Good evening, sir. So just a broad policy level question , because over the past few months, if you have seen Chinese actions, it seems that they are indicating that they don't want India to become a manufacturing hub. So in light of that, has there been any change in the attitude of government towards companies which are specializing in manufacturing? And that is the first one. And the second one is w hat is CG's thought process about this , because this opens up a lot of revenue for a company like us. Are we looking at the newer areas?

Amar Kaul : Yes. Thanks for the question. So first one, obviously, see macroeconomic trends and the political discussion between the countries, honestly, that will keep happening. So we don't tweak our strategy every second day in line with that. So if not China, if not others, you will have opportunity for the whole world. So it doesn't change our manufacturing footprint s trategy at all. We continue to progress on what we have planned for.

To your second question, was more on?

Amar Kaul : Yes. So I think we will keep on investing. One is the portfolio that we have across different businesses. I think that itself, there's a huge opportunity across the globe that we have, including

India. And of course, as we move forward, anything on the adj acencies of each of the businesses that makes sense for it. Yes, we will be open to look at those opportunities.
Richard D'souza : Okay, sir. Maybe I will come back later. Thank you.
Moderator : Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please proceed.
Bhoomika Nair : Good evening, sir. And c ongratulations on a good set of numbers. Sir, my first question is on Motors. You spoke about the weak demand and how we have outgrown the industry for the last several quarters. Now in this weak demand environment, you have taken a 5% price hike effective July. Is this something that the rest of the peer set has also seen? And do we expect that this could possibly impact our market share gains that we have seen i n the last couple of quarters?
Amar Kaul : Yes, Bhoomika, thanks for the question. See, the point is LT Motors, we are the market leaders . So we got to define what should be the pricing in the market. So after we increased our pricing by 5%, the good news i s lot of competitors are following what we are doing. And I think that's

the way you actually continue to be the market leader. So I am happy with what I am doing. So it doesn't mean that when we increase by 5%, you will have a reali zation of 100%. So even i

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you have a realization of 50%, I think from pricing discipline point of view, that's a good step forward.
Bhoomika Nair : Sure. And there's not a similar price increase in the HT Motor. HT Motor, the pricing has not been changed?
Amar Kaul : HT Motor, it's more of customized motor s, because every motor would be unique. It's like building a Taj Mahal. So every time you have to carve out a different design and then accordingly price it.
Bhoomika Nair : Sure. So how is the demand on the HT Motor panning out with these new solutions? Our market share is obviously while it has increased, but not as strong as the LT Motors. So how is the demand and our share kind of increasing as we are moving ahead?
Amar Kaul : I will pass on that question. JK, if you are there, how do you feel about HT Motors market?
Jatinder Kaul : Absolutely. Thanks, Amar, and thank you for the question. There's a big demand in the market, and we right now, our served market is very small. We are serving a sm aller portion of the market. We have plans in place where we are going to invest on the design, and we want to expand. We want to expand, have more verticals to work with. This is one of the priorities I am personally working, is how to have a bigger marke t share and a better market share and expand the overall served market for us. This will be our key focus area. Definitely there's a big demand, but we will have to have the right set of solution for our customers.
Bhoomika Nair : Sure, sure. That helps, si r. Sir, just secondly on power...
Moderator : Sorry to interrupt ma'am. May we request you to join the question queue as we have other participants in the queue.
Bhoomika Nair : Sure. I will come back. Thank you all the best.
Moderator : Thank you. The next question is from the line of Renu from IIFL Capital. Please proceed.
Renu Baid : Yes. Hi, good evening, sir. Just 2 quick questions. First, can you share updates on where are we with respect to commercial volumes for our EV Motors? And secondly, on the export front for motors, can you also elaborate for what type of applications are we targeting the export ? And any particular region which are high priority regions for us apart from Africa, Europe, where you mentioned you are setting up distribution and GTM? Thank you.
Amar Kaul : Yes. So thanks, Renu. So I think on the EV Motor, I would say we are still in the beginning of it. I would not claim that we have got the secret sauce. So first thing is for the 3 -wheeler motor and th e drive, we are ready there. The motors have already been tested. They have passed the

homologation for individual motor and inverter. They are at testing at the OEM level, at the auto company level.
So hopefully, in next few months, we will get the appro val and that will start the supplies piece of it. So for others, we are actually still in the development stage for the larger trucks. The development of that is still in place . So yes, still a bit of a long way to go there.
Renu Baid : Sure. And can you el aborate with specific applications are we targeting on the export segment for motors , these would be standard LT Motor segment only?
Amar Kaul : You mean EV or you are talking about...
Renu Baid : No, conventional motors for exports market.
Amar Kaul : Conven tional motors for exports will be the similar portfolio that we have. One is the industrial piece, which are those smaller LT motors as well as the customized motors. As we get more and

more experience, and we have the right skill team setting across divis ions, because when you are exporting motors, you also need to have service centres there. And that's what Marais and team is busy setting up right now. So it will be for both.
Renu Baid : Got it. Thank you. And best wishes to you.
Amar Kaul : Thank you.
Moderator : The next question is from the line of

Bhalchandra Shinde from Motilal Oswal . Please proceed.
Bhalchandra Shinde : Hello. This is Bhalchandra Shinde from Motilal Oswal Agency. Sir, the recent order which we received of INR 400 crores from Kinet Railways, that we have started executing and that is actually impacting our Industrial Systems segment profitability or it is yet to execute?
Amar Kaul : No, no, I don't think so. I think execution has just started. So the team has started working on it. I think that should give us good days ahead. So it is the routine business and the mix that has changed, between more skewed towards traction electronics. That's where the impact o n the margins has come with the railways, whatever reverse auction that they do, and that's where the impact has come. But to your question, no, nothing related to Kinet.
Bhalchandra Shinde : Okay. Okay. And in Power, if you can provide insights that the ki nd of a trajectory which we are seeing in the order inflows. What kind of a visibility we see over next 1 year, especially because of this T&D CAPEX going on? And how we see our capacities which are going to come will be utilized over the next 2 to 3 years ?
Amar Kaul : I think, Bhalchandra, for Power, honestly, I am very, very bullish for even next 5 years. I will not worry about. I think we will keep expanding our capacity. Obviously, as we progress and keep looking at the market, get our feet on the ground , we will keep expanding it further. I don't think with even 85,000 MVA capacity that we have invested, we will be satisfied with that.

But again, it will not be a knee -jerk reaction. As we get more stronghold on our pipeline, it keeps swelling, we will keep adding capacity. Basis what the data that you see, all the forecast and what we see on the ground, next 5 years, nothing is going to happen. It will keep going up. The capacity versus the demand gap will always stay there.
Bhalchandra Shinde : Got it. Thanks sir. I will come back for more questions .
Moderator : Thank you. The next question is from the line of Umesh Raut from Nomura. Please proceed.
Umesh Raut : Hi sir. Good evening. And c ongrats for a very healthy set of numbers. Sir, my first question is pertaining to employee costs. So we have seen 52% increase in the cost year -on-year basis. Is it largely on the account of new operations getting started for Axiro or investment into CG Semicon?
Susheel Todi : So you are looking at a total consolidated number. Am I right?
Umesh Raut : Yes, sir. Right.
Susheel Todi : Yes. So it's coming out to CG Semi as well as that you know that we did an acquisition of Axiro. So that also is coming. In that business, the staff cost and the employee cost would be much high.
Umesh Raut : Any other costs you have incurred upfront for the Axiro , because margins for Axiro looking like are lower single -digit range currently. So when we can ex pect stabilization for that particular business?
Amar Kaul : Yes. So these are as part of the transaction, the initial setup that we have put up there. So I think that is what is showing there. But yes, first year, as you know, any acquisition that happens will be the transition year , and then you will see the upside going there, and that's specific to Axiro. And I think CG Semi itself, if you are looking at employee cost at consolidated level, yes, I think there are almost 170 people almost already on board and with no revenue. But again, we have made that investment. It's more strategic investment , because most of them have been trained, right from operators to engineers in various plants of our partners outside India. And right now, they are on the job of learning. So our lead time from manufacturing start , till you start the shipments will be compressed with the investment that we are doing now.
Umesh Raut : Got it. Thank you. Thank you so much.
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oderator : The next question is from the line of Atul Tiwari from JPMorgan. Please proceed.
Atul Tiwari : Yes. Thanks a lot. And c ongrats on good set of numbers. Sir, in CG Semi, how much is the total CAPEX that you have done so far?
Susheel Todi : So that's approximately around INR 400 crores.

Atul Tiwari : And between now and end of 2027, you will end up doing roughly INR 76 billion. So the entire

thing will happen now like over next 2 years. Is that right understanding?
Susheel Todi : So for overall, including subsidy, yes, including subsidy, you are right. Or I would say the capital support from the government, not a subsidy.
Amar Kaul : So our contribution...
Susheel Todi : Our contribution would be around INR 1,700 crores.
Atul Tiwari : Okay. So I thought the subsidy was 50%, right? So if the total CAPEX is INR 76 billion , then your contribution will be higher. Is there some change in that or...
Sushee l Todi : No. So, that we said, no. Initially we have been talking about 50%, it's a kind of a capital support from the central government , and between 20% to 25% support from the state government. And rest would be given by CG and other partners of the CG.
Atul Tiwari : Okay. And the support from the state government will also be available before the production starts or i t will come only after production?
Susheel Todi : That discussion is going on with the state government and it might be on the similar line what the central government is doing.
Moderator : Thank you. The next question is from the line of Harshit Patel from Equirus Securities. Please proceed.
Harshit Patel : Thank you very much for the opportunity, sir. Sir my question is on the Axiro. You have explained that given that this is the year of transition, th e margins are slightly on the lower side over here. So sir, over the medium to long term, what could be the stabilized steady -state margin for this particular business for us?
Amar Kaul : So see, as I said, first year for any acquisition will be the transition year. There will be some upfront costs, setting up. We set up the office in Bangalore with a lab there. So all that is transition. So it won't be apple -to-apple conversion. But yes, specific, we are not giving any guidance, but the way they have performed before, it will be easily a double -digit margin.
Harshit Patel : Understood sir. Thank you very much.
Moderator : Thank you. The next question is from the line of Aditya from Kotak Securities. Please proceed.
Aditya Mongia : Thank you for the oppor tunity. And c ongrat ulations on a very strong set of numbers. I just wanted to get more color on the big uptick in inflows happening in the Power side and the go -to-market strategy. Could you give us a sense of the split of the orders that you have won between domestic and international? And any more color as to what exactly is the company doing t o gain market share, would be useful. Thank you. That would be my only question.

Amar Kaul : Yes. So I think the majority of orders won are all domestic. It's primarily from India. So there's not a big skew that has happened before and after for exports. So it's almost in the same proportion. So not much of a change here. But important is we will continue and we are continuing to keep building on our pipeline. And pipeline from where, obviously, that is a little bit company confidential. So would not reveal that too much unless it gets converted into the order.
Aditya Mongia : Understood. That was my only question. Thank you.
Moderator : Thank you. The next question is from the line of Sameer Thakur from Ambit Capital. Please proceed.
Sameer Thakur : Just one. So if you can just elaborate on Service business, what efforts you are taking there? And if you have a

ny target in your mind, let's say, by 2030?
Amar Kaul : Thanks. I think a very good question, and I love that. Service is my passion. But as of today, if you tell me, give me a clear road map of Service business till 2030, my answer is I am not ready right now. But is that the business that will show us results in future? Absolutely. And are we working on that? Yes, for at least 3 or 4 business leaders in this call. They are actively working with their teams, along with me and the strategy team to develop a model which will be unique. When I say Service business is actually a multistage service business. It's not simple that you get a spare part order or you get a service order , and that will continue to happen. What I am talking about is full -fledged 5 years, 10 years contract , and taking the full responsibility of the products that we are supplying or also at some stage, we get into, for example, motors. Like the way you have SaaS, we have motor -as-a-service kind of a package where we make the investment for you and we sell you the energy efficiency. So those are the steps where we will get into. But yes, we are not prepared already on that right now , because it requires a lot of hard work, which we are doing.
Sameer Thakur : Okay. Thanks. I will get back in the queue.
Moderator : Thank you. The next question is from the line of Shirom from Jefferies. Please proceed.
Shirom : Hi. Thanks for the opportunity. Just wanted to get a bit more sense on the semiconductors, the incentive. I think it was very referred to in the previous question, but just could you clarify? So the incentives that you are set to receive, are they already being booked as received or only once the facilities are operational? And yes, just if you could give some clarity on that.

Susheel Todi : No. So this is not a subsidy support like capital support. So subsidies al ways it comes a little later once we invest it. So it would be more like pari passu , right? The money going into the pool and then coming from every stakeholders , and then it will go into the suppliers. So this is the way entire model will work.

Shirom : So it will come while you are investing, not necessarily only once the facility is operational like a subsidy. It's being put together from the start.

Susheel Todi : Yes. You are right.

Shirom : Got it. Thank you so much.

Moderator : Thank you. The next question is from the line of Subraman iam Yadav from SBI Life Insurance. Please proceed.

Subraman iam Yadav : Thank you. Sir, we have a strong inflow in the Power segment in this quarter. Just trying to understand, have we started booking orders for the new facility, which is coming in September for the transformer?

Amar Kaul : I think that's a very good question. And as I said, the construction has just begun there. So hopefully, in the next 2 months, we will start booking the orders. Ajay, you want to add to that?

Ajay Jain : Yes, Amar. Once the construction starts, we will start taking orders. Our focus is on taking short delivery orders there, where we can start delivering within 12 months.

Subraman iam Yadav : Okay. And sir, actually I was asking for the extension of the existing facility, transformer facility, which was suppose d to come in September?

Amar Kaul : Yes. So that is on track, as I mentioned. So it will go to about 40,000 MVA by September.

Subraman iam Yadav : Okay. Sir, the s econd one would be...

Moderator : Sorry to interrupt, sir. Can you just get in the question queue?

Subraman iam Yadav : Okay. Thank you.

Moderator : Thank you. The next question is from the line of Uttam Kumar from Avendus Spark. Please proceed.

Uttam Kumar : Sir, thank you for taking my question. My question pertains to Power Systems. So today, we have close to INR 9,000 crores of orders, and we are continuously seeing strong traction

in terms of order inflows. The first thing is I want to understand on this INR 9,000 crore order book which we have, what is the execution period for this? And what is the kind of revenue which we are looking at , for this full year? A rough range also would suffice.

And the extension to that is on the export market. So what's happening on the transformer side? Because we have been also trying to look at the exports side of it for the transformer space. Have you started any exports or is it going to be at the later stage of the year? More color on those also will be helpful.

Amar Kaul : Yes. So the backlog that we have for transformers specifically, I think with the latest order that we got, big one, it's up to 26 months, but I don't think we have to really wait for that long. We should be able to execute everything in the next 18 to 20 -22 months. And then that's the reason also why we have to keep filling up the pie and bring it there.

To your question on export piece of it, yes, the work is continuing there, what we have been doing, but we are also looking at strategic lever how to play a bigger game in that market as well. So that work is in progress.

Uttam Kumar : Got i t sir. Thank you.

Moderator : Thank you. The next question is from the line of Umesh Raut from Nomura. Please proceed.

Umesh Raut : Hi sir. Thank you so much for the opportunity once again. So my question is pertaining to Industrial Systems and for Subsidiary business. So if I look at performance for Subsidiary business for Industrial Systems, it has remained more of volatile since last few quarters. And I think margins are also hovering in the range of negative to about, say, as high as 10%.

We have done margins of about 10% to 15% a few quarters back in this particular business. But I think now those are quite struggling. So any reason over here and how soon we can expect margins kind of reverting back to low double -digit range for Industrial Systems export business or subsidiary business?

So sir, if I look at our business in the Industrial Systems, which is falling under subsidiaries. So there, we have seen quite a bit of volatility in terms of margin performance. So I just wanted to understand this is also kind of impacting on the overall margins for Industrial business. So how soon we can expect more of steady performance from those subsidiaries?

Amar Kaul : Yes. So from subsidiary, yes, I think what we could control, that has been done in terms of c ost and control. But the good news is that the bookings have seen the upward trend, so which means

that we continue that momentum and it will show up in revenue in the forthcoming months.
So fixed cost is already taken care of. So any increase in revenue will actually make sure that your margins are improving consecutively. And that impact on the overall Industrial business, I would say that is the third one, very, very small portion because the size itself is not very big.

Umesh Raut : So I was asking abou t the free trade agreement, which is now signed today between India and U.K. and possible engineering goods export opportunity because it is coming under zero tariff now. So what are your views on this particular opportunity?

Amar Kaul : I think this is of high level because this has just happened. And so we have to see what does it mean in terms of exports. Honestly, we are not very, very big. So yes, we have to evaluate and then look at it.

And if you see, honestly, this free trade agreement and tariffs, e t cetera, it doesn't impact us too much , because if you look at our model for exports, it's mostly FOB or Ex Works kind of thing. So it still goes to customer. And when we interact with customers, most of them are like, any change like that happens, we wil l have to pick it up

. So they don't dump it back on us. So we won't be too worried about these macro economical changes.

Moderator : Thank you. Due to time constraints, that was the last question. I would now like to hand the conference over to Ms. Renu Pugalia for closing comments. Thank you, and over to you, ma'am.

Renu Baid Pugalia : On behalf of IIFL Securities, I would like to thank everyone f or the ir patient presence , and the management for giving us the opportunity to host the call. Amar, any closing comments that you would like to make?

Amar Kaul : No, thank you so much. Thanks, Renu, and thanks, everybody, for joining us. Really appreciate and value your relationship with us. Keep investing in us, and we will keep working hard to make sure your investments are secure and keep growing.

Moderator : Thank you. On behalf of IIFL Capital Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2025

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Q2 FY-26 Earnings Conference Call”

October 29, 2025

MANAGEMENT : MR. AMAR KAUL – CEO & MANAGING DIRECTOR
MR. SUSHEEL TODI – CHIEF FINANCIAL OFFICER
MR. MARAIS NEL – EXECUTIVE VICE PRESIDENT
(DRIVES AND AUTOMATION AND INTERNATIONAL
MOTORS BUSINESS)
MR. GAURAV MAKHIJA – VICE PRESIDENT
(SWITCHGEARS AND EPD BUSINESS)
MR. AJAY JAIN – VICE PRESIDENT (TRANSFORMER
BUSINESS)
MR. CHIDAMBARAM BALAKRISHNAN – VICE
PRESIDENT (RAILWAY BUSINESS)
MR. JATINDER KAUL – EXECUTIVE VICE PRESIDENT
(MOTORS BUSINESS - INDIA SUB-CONTINENT)
MR. SRIRAM RANGARAJAN – EXECUTIVE VICE
PRESIDENT (HEAD – CONSUMER PRODUCTS BUSINESS)

MODERATOR : MS. RENU BAID PUGALIA – IIFL CAPITAL

Moderator : Ladies and gentlemen, good day, and welcome to the CG Power Q2 FY '26 Earnings Conference Call, hosted by IIFL Capital Services Limited .
As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone telep hone. Please note that this conference is being recorded.
Now I hand the call over to Ms. Renu Baid Pugalia .
Renu Baid Pugalia : Thank you. Very good afternoon, everyone. On behalf of IIFL Capital, I welcome the Management of CG Power to discuss the 2QFY26 results and way ahead.
We have the Senior Leadership Team with us represented by Mr. Amar Kaul – CEO & Managing Director , Mr. S usheel Todi – Chief Financial Officer , Mr. Marais Nel – EVP (Drives and Automation and International Motors Business), Mr. Gaurav Makhija – Vice President (Switchgears and EPD Business), Mr. Ajay Jain – Vice President (Transformer Business), Mr. Chidambaram Balakrishnan – Vice President (Railway Business), Mr. Jatinder Kaul – EVP (Motors Business - India Sub-continent) and Mr. Sriram Rangarajan – EVP (Head – Consumer Products Business).
I would now like to hand over the call to Mr. Amar for his opening comments. Thereafter, we can start with Q&A. Thank you, and over to you, sir.
Amar Kaul : Thank you, Renu and team. Good afternoon, everybody, and welcome to the CG Earnings Call .
Let me start with the summary of Results:
We have delivered a strong performance for the quarter and half -year ended September '25, underscoring sustained high double -digit growth , and the early impact of strategic transformation initiative s and practicing disciplined execution excellence.
Now this is ano ther quarter and H1 performance with all -time high stand alone revenue as well as profit before tax after accounting for exceptional items. Further, we have improved our PBT margins by almost 90 basis points sequentially and 230 basis points year -over-year. This

demonstrates our continued efforts and focus on improving our margins over the last couple of quarters.
Our Q2 sales grew at 17% year -over-year. Order intake grew by 32% year -over-year and profit after tax improved by 38% year -over-year, making it o ne of the strongest quarter ly performance in recent times with the positive leverage. Further orders remain robust with backlog strengthening at INR 13,568 crores, underpinning the multi -quarter visibility.
Now as I go deeper into Q2 stand alone performance :

The sales for the quarter was at INR 2,649 crores, growth of 17% year -over-year. Profit after tax was higher with a growth of 38% at INR 307 crores versus INR 223 crores in Q2 last year.
Return on capital employed (excludes QIP proceeds) for the quarter was 34% and order intake for the quarter was INR 4,210 crores, which is about 32% growth year -over-year, and unexecuted order backlog as of 30th September '25 was INR 13,568 crores.
Now as I go deeper into the segment -wise performance :
Let's start with Industrial :
The aggregate sale was INR 1,395 crores, which was -2% year -over-year. This was primarily driven by few project deferments in the Railway segment. And PBIT also was muted due to this, which was at 9.7% of sales, INR 135 crores versus INR 166 crores.
Margin change due to price realization challenges in the Railway business as well as the order deferment leading to lower operating leverage and some impact due to the rise in the commodity prices, which could not be fully passed on.
Now despite this , pricing discipline, cost optimization initiatives, operational productivity gains helped us partly cushio

n this impact and focus remained on high -margin recovery through cost optimization initiatives, pricing and improving the product mix.
Order intake for the quarter was INR 1,567 crores, which if I offset it with one large order, which we had in the Q2 of last year, the actual order intake was about 13% up year -over-year. But if we look apple -to-apple here, it was -10%.
Movin g to the Power Systems :
The performance continues to be pretty strong with continued margin expansion focus with the backdrop of robust demand and disciplined execution. Sales was INR 1,254 crores with a sharp rise of 48% year -over-year, supported by steady execution rhythm .
PBIT was at INR 260 crores versus INR 149 crores last year, which is 310 basis points margin expansion, primarily driven by better price realization, resilient demand trend as well as the improved operating leverage.
Order intake for the quarter was INR 2,643 crores, which is 81% growth year -over-year and unexecuted backlog towards the close of quar ter was INR 10,474 crores, which is 104% higher year-over-year.
With this, we conclude the deep dive into the stand alone performance, and I will now move to the consolidated numbers. Aggregate sales for the quarter was INR 2,923 crores at a growth of 21% year-over-year. Profit after tax was 30% up at INR 284 crores versus INR 220 crores last year same quarter.

And if you see the margin improvement, which was driven primarily by the strong power performance was partially offset by the strategic investment i n increasing our talent pool of the senior personnel and technology people in CG Semi as well as in Axiro, which is our Semiconductor business.
Return on capital employment (exclud es QIP proceeds) for the quarter was at 31%. Order intake for the quarter was 45% up, at INR 4,772 crores and unexecuted order backlog as of 30th September was INR 14,953 crores, which is 88% up.
Now some of the notable events for the quarter :
CG Semi Private Limited , a subsidiary of CG opened the new factory near Ahmedabad , which is called G1. Now this marks the first step into the semiconductor capability and supporting the country’s goal of becoming self -reliant, while also serving the global market. The G1 facility will operate at a peak capacity of 0.5 million units per day capacity; and G2, which is the main plant, which is the large plant, just 3 kilometers away from the current facility under construction, expected to be closed by end of next year or early '27.
Once operational, G2 will scale up to the capacity of abo ut 14.5 million chips a day. So, both put together, the capacity will be almost 15 million chips a day. And in terms of employment generation, both these facilities will be employing about 5,000 direct and indirect jobs in the

coming years.
As you know, CG Semi is eligible for capital assistance from the scheme under the setting of Outsourced Semiconductor Assembly and Test by India Semiconductor Mission, ISM, as well as MeitY.
We got that approval on 8th of March 2024. The approval covers a 5 -year period for financial year '24 -'25 to '28 -'29. Total project cost of INR 7,584 crores, the central government assistance of INR 3,501 crores , and the additional state Gujarat government support, which is equal to 40% of the central government assistance is about I NR 1,400 crores. The fiscal support agreement was signed on January 17, 2025, and the trust and retention account agreement was signed on September 15, 2025.
The last one that I have is that the Board of Directors today approved another greenfield expansio n for Switchgear business for an investment of INR 748 crores, net of taxes. And this expansion is proposed considering the expected increase in the demand of medium voltage and EHV circuit breakers, instrument transformers, GIS in the domestic market as w ell as cater t

o
the export market.
With this, I will conclude my opening remarks. Unaudited financial results with detailed notes are available as part of the stock exchange filings , and is also available on our company website.
Thank you for listening in, and over to you, Renu, for Q&A.

Moderator: Thank you. We will now begin the question -and-answer session. (Operator Instructions) Ladies and gentlemen, we will wait for a moment while the question queue assembles.
The f irst question is from the line of Ank ush Sharma from HDFC Life. Please go ahead.
Ankur Sharma: Yes. Hi, good afternoon. Thanks for your time as always. I have 2 questions on the Industrial segment. So, first, within that, on the LT Motor side, and I know you have been highlighting that the ma rket has been a little subdued in the last few quarters. If you could just tell us again, how was Q2 and what are the trends you are seeing in Q3? Are we seeing any signs of growth coming back? If not, what steps are we taking to improve market share there? And I understand we already have a 40% market share there. So, yes, the first question is on the LT Motor side.
And second, on the Railways where you highlighted some project deferment this quarter. If you could talk about that, is that behind us? A nd do we expect that revenue start flowing in from Q3 onwards? Yes, t hose are my questions.
Amar Kaul: Yes. Thanks, Ankush, for the great questions. So, first one on the LT Motor side; actually, if you tell me, I am pretty happy with the progress made by t he team there. We are doing much better than the market. If you look at the market IEEMA data, the market was a little better than what it was previous quarter. From negative zone, it has come to flat.
As we say, we don't give the exact numbers, but I can tell you that our order input was in double digit, which itself is a great beginning point. And even our sales was single digit, but on the positive side. So, even the profitability is also improving. The team is doing a good job in terms of our CGX execut ion excellence, working on these areas that we can control. So, pretty positive on how it is moving forward.
Railways, coming to your second question of railways, so I think there was a delay in terms of shipments, which actually hampered for almost a mont h. But then it started around middle of last month. So, whatever we could ship out in 15 days' time is what came up, but then everything obviously could not be shipped out in time. But that got delayed, so it's only a shift between the 2 quarters.
And last but not the least, if you see the pressure was also a bit from the commodity inflation. Obviously, everything didn't pass on to the customer. And also, as you know, PVC is not in the same quarter. It goes in a couple of quarters here and there.
Ankur Sharma: All right. Great. Okay. That's good to hear. Thank you.
Amar Kaul: Thank you.
Moderator: Thank you. The next question is from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Thank you, team, for the opportunity. Amar sir, first question is on the semiconductor and you have been articulating that and generally, we have seen whosoever has started Semiconductor Indian company, you are the one which is scaling every quarter very fast. Can you give us a little roadmap that given that you have already done INR 230 crores -INR 235 crores a semiconductor revenue, how we should build in this year or next 2 years?
I don't want the exact number, but how the scale will go up? And obviously, you are apportioning

a lot of cost, which is also hurting the overall EBITDA of the company as well. How one should look at that trajectory improving? If you can throw some light on that?
And second, apart from the new

CAPEX , which you have highlighted in this quarter going ahead with that CAPEX , can you also throw some light how the CAPEX and how is the time line of the current capacity, which was about to get commissioned? Are we on track on that?
And in terms of newer inquiries and newer order inflows, if you can give some color because there's a lot of disbelief coming, especially in the investors that there is going to be a slowdown, government will give a lot of approvals to Chinese players to come and do transformers in India. So, these are some of the things, which are going on. And if you can throw some light on that, that would be helpful. Thank you, Amar sir.
Amar Kaul: Sure. Good questions. Coming to the semiconductor piece of it, first. Yes, it's a long game that we are in and pretty excited to be in this indus try. To your specific question on the short term, if your question is specific to what revenue will we generate in the current year, for Axiro, which is our subsidiary, I think they should do approximately $50 million. That is approximately about INR 450 c rores, which is very much on track with what we had projected for. And CG Semi, as you know, is a long lead item, so we will take some more time. But yes, exciting times sitting in that area.
If I go back to your question on CAPEX that we have currently, w hich we have been working on, I think, all the projects are on track. For our transformer division, we had planned to expand from 15,000 MVA to 40,000 MVA , that has already been done on 1st of October. So, our capacity has enhanced, we even got the approval from Power Grid Corporation, I think up to 35,000. The next phase will come in next month to take it further, jack it up. So, all those investments are reaping the benefits that's coming in.
Regarding this new facility, as I said, thi s will come for switchgear expansion, which we approved today in the Board. Of course, today after Board's approval, we will start working on it, and we will get there.
Nitin Arora: And the inquiry pipeline, sir, in this business? And do you think governme nt can allow the Chinese players in the transformer? That's what going rounds and rounds, this news is?
Amar Kaul: I think, see, in the global market, whether the Chinese players come in or not, it's a global market. What we have to be prepared for is beco ming efficient and become cost competitive. I think

that's what everybody needs to work on, and that's what our focus is. So, I will not get into what the government will do, whether Chinese will come in or not, important is how do we become operationally efficient. Even if Chinese or anybody comes into the country, we are as good as anybody else or better than them. I think that's what our focus is on.
Nitin Arora: And how is the inquiry pipeline?
Amar Kaul: Coming back to your other question on the inquir y pipeline, I think, it's very, very strong. In fact, today, if I look at my inquiry pipeline as of end of last quarter, the pipeline is almost 85% up from of last year.
Nitin Arora: Great to hear that, sir. All the best team for the future. Thank you.
Amar Kaul: Thank you.
Moderator: Thank you. The next question is from the line of Umesh Raut from Nomura. Please go ahead.
Umesh Raut: Yes. Hi team. Congratulations for the strong set of order inflows. Thank you for this opportunity. Yes, my first question is on the Railway business side, where we have consistently now faced this price realization challenge. So, I just want to understand whether this is because of execution of legacy projects, which we have taken a few years back? Or is it because of compet ition that is impacting on our margins?
Amar Kaul: I think in the Railway business , of course, challenges are there. But as you know, this is a typical tendering business. What you take these orders are at very

thin margin. And then the PVC clause that we have with the railways is actually average of three different --- there's a formul a for that. So, it takes at least 1 or 2 quarters till it comes back. So, you may not have that impact in the full quarter.
Second is, unlike other businesses where if there's a commodity inflation, we can quickly encash, adjust our pricing , and find a way to mitigate that risk. Whereas in this business, it takes a bit more time. But yes, I think it's a more of a patience game, but we are very, very sure about coming out of the situation as soon as possible.
Umesh Raut: Got it. My second question is on the export side. We have seen lot of new hiring taking place at a senior level for international markets, at least in the media, since last few months. So, just wanted to understand what is your strategy on the export side to ramp up the industrial product offering? And what kind of order pipeline you are anticipating in the exports, especially what

are your plans in the U.S. transportation infrastructure market?
Amar Kaul: So, when you say, you have seen the news for hiring of senior personnel, do you mean to say for CG or somebody else?

Umesh Raut: CG Emotron and even on the some of these newer industrial product offerings on the Drives side. And for the U S railway market as well, you have done one collaboration. And I th ink you are working out with the new marketing team as well in the various other geographies.
Amar Kaul: Right. No, because see, exports, of course, is one of the key pillars for us, and we are gradually taking on it. It's like a foot on the gas and foot on the brake thing. So, on one side, as I have been talking about in the last few quarters, we are upgrading our manufacturing capabilities to make sure the standards are at par with the global standards.
And on the other side, we are expanding in differ ent markets in continuation to what I had spoken before , from Southeast Asia to a bit in Europe, in Africa to Morocco , and a bit in the U.S. So, those expansions are happening because that's where we are developing the channel. So, it's a balance of busine ss development , and also capacity expansion and upgradation to make sure we are at par with those markets. So, yes, that's a journey, it will keep happening in that direction.
Umesh Raut: Okay. And my last question is on the inorganic opportunities as we have raised funds in the recent quarters. So, just wanted to understand where you are exploring these opportunities.
Amar Kaul: Yes. So, I think before I get to answer your second question , in continuation to the previous question, the initial results that we are seeing for our H1, our exports in absolute terms versus H1 of last year, we are almost 20% to 25% up. So, it's showing some results on the pipeline. But yes, it will happen on their own. We have to keep working pr etty hard on that.
And coming back to your second question in terms of capital allocation, yes, as I said, one is our own capacity expansion, as you looked at approximately INR 750 crores that we have taken the Board approval for today is for our internal managing the day -to-day business. And second is also the potential M&As that will keep happening. So, our strategy team is always on the hook to keep looking at candidates for potential. So, it will be across CG as well as semiconductor. So, that's what we are actively looking at.
Moderator: Thank you. The next question is from the line of Saif Sohrab Gujar from ICICI Prudential AMC. Please go ahead.
Saif Gujar: Yes. Thanks for the opportunity, sir. First question is on the KAVACH part. So, GG Tronics had an order of around INR 500 crores, INR 600 crores from CLW in November '24, right? So, on that order, where are we in terms of the execution versus the original timeline? And just to that, ha

ve we received any other follow -on orders of smaller quantum?
Amar Kaul: Yes. On KAVACH , I think we are almost on track. I would say there's a delay of about 1 month - 1.5 month. So, hopefully, I think, there are only 2 last approvals pending. Hopefully, by end of December, we should be in a position to get all this cleared out and start the shipments. And yes, after that, we have received a couple of more orders, INR 150 crores, and I don't have the exact numbers. So, that's for both Station KAVACH is also what we received the orders for.

Saif Gujar: Okay. Thanks. And second, just a bookkeeping part. In the balance sheet, the other intangible assets have increased from INR 263 crores to INR 427 crores. Any specific thing for that? What has caused this?
Susheel Todi : You know that we recently did Axiro acquisition, and in that acquisition, this business actually is relating to more like a design business . So, what we got is more about IPs and other things. So, that's what accounted during that acquisition side.
Saif Gujar: Sure. Okay. And all the best.
Moderator: Thank you. The next question is from the line of Atul Tiwari from JPMorgan. Please go ahead.
Atul Tiwari: Yes. Thanks a lot. And c ongrats on a good set of numbers. Sir, on your Transformer business, this capacity expansion from 15,000 MVA to 40, 000 that was achieved on 1st October. So, fair to assume that this incremental 25,000 MVA as of now is 100% unutilized and it will be utilized over a period of time?
Amar Kaul: No, not really. I think if you look at the order backlog that we have because you don't wait for this capacity to get ready. So, we have taken the orders , because today, if you see the lead time for these power transformers , customers are willing to giv e the orders up to 24 months from now. So, that's the way capacities are getting booked. So, in fact, the new plant that we are setting up, so we already are, I think we have started actually looking at booking orders for that as well. So, not in a big way , but gradually, that's happening. So, it's like demand and supply situation balance that we are doing. So, coming to your question from 15,000 to 40,000 MVA, I would

say almost most of it is being taken care of.
Atul Tiwari: Okay. So, sir, right from, say, for example, this month, we can see an annualized output of 40,000 MVA , because you have already orders in hand. Is that the right ?
Amar Kaul: Yes, it will be this month or what do you say?
Atul Tiwari: Because the plant got ready on 1st of October, right, we are in the first...
Amar Kaul: Yes, yes . So, when I say from 1st October onwards, so which will be at proration capacity, yes, it will be at 40,000 prorated for the year.
Atul Tiwari: Prorated for the year?
Amar Kaul: Yes, yes.
Atul Tiwari: And sir, the next phase of expansion, I believe is from 40,000 to 65,000 right? So, when does that come online?
Amar Kaul: So, next one, this is 40,000 and the new plant, which is coming up is 45,000 MVA.

Atul Tiwari: Okay. And by when it will be online and functioning?
Amar Kaul: So, as per the plan, that is '27 -'28, but the way we are executing, I think we will be much ahead of the target. And the moment we have better visibility, we will let you guys know.
Atul Tiwari: Okay, sir. Thank you. Thanks a lot.
Amar Kaul: Thank you.
Moderator: Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore: Sir, thanks for the opportunity. My questions. The first one is you mentioned that the inquiry pipeline is qu ite strong, up 85%. But specifically for Power Systems, we are seeing that the award of interstate TBCB project to transmission utilities in the first half of FY '26 has been slower tha

n the previous year so far. Do you think that this poses any risk of sl owdown in award of our transformer HV switchgear contract for electrical equipment suppliers in the coming quarters relative to the past fiscal?
The second question is again on exports, where exports were about 10% of consolidated sales in FY '25. You ment ioned that the growth has been 20%, 25%. And given your consolidated is also 21%, I am assuming export percentage in sales has not changed much. But could you also speak about the mix of exports presently, broadly color on how much is in Industrial Systems and Power Systems? And which areas do you expect to scale up in exports over the next 2 to 3 years?
Amar Kaul: Good question. So, what I will do is I will let Ajay, you are on the call. Why don't you take that question for transformer. And then after that , Gaurav, you can answer for switchgears.
Ajay Jain: Yes, sir. Regarding the inquiry pipeline, the pipeline is strong. The decisions have been slow. Yes, you are right. That is because lot of projects now are getting awarded or getting allocated to the states. So, there, the decision -making is slow.
As far a s we are concerned, we don't see any slowdown in order booking because PSUs are still placing orders at a very fast pace, power grid , and then this power generation sector is also opening up. So, we don't foresee any slowdown in this area.
Sumit Kishore: Okay. That is because the lead time is already so high, so if there is capacity, it will get booked.
Ajay Jain: Yes, that is one thing. Second, yes, if there is a slowdown in the transmission project, the power generation projects are picking up at a very f ast pace in the thermal space.
Sumit Kishore: Okay.
Gaurav Makhija : Thank you, Ajay. Thanks for that question. I think very similar to what Ajay mentioned, largely switchgear follows what the transformer gets in there. So, I think very similar. I think we have

seen a consistent higher demand for switchgear. I think your question was both for EHV and EHVS and followed by the Medium Voltage business for us as well. So, there has not been any sort of shift towards lower demand for this business.
Sumit Kishore: Okay. My second question was about exports.
Ajay Jain: Exports, we have been steady till now. But with the increased capacity, we will be focusing more on exports for the business sustainability thing, and we are participating in more and more projects an d tying up with the state utilities abroad. So, exports will see a bigger push and more percentage share in the order input and revenues in the coming years.
Sumit Kishore: So, in exports, particularly, the share of Industrial Systems exports for motors, d rives, et cetera, will be higher as compared to what exports is for Power Systems.
Amar Kaul: So, I think, Sumit, you know it pretty well. We don't give the split by details of each business, and the number that you talked about is higher. So, we are posit ive on quarter -over-quarter for most of the businesses.

Sumit Kishore: Thank you, and wish you all the best.
Amar Kaul: Thank you.
Moderator: Thank you. The next question is from the line of Bhoomika Nair from DAM Capital. Please go ahead.
Bhoomika Nair: Yes. Good evening, sir. Thank you for the opportunity. So, just wanted to spend some time on the IS segment. We have seen after a very long time a decline in revenues, which you mentioned has got to do with the deferment in some railway orders. Would it be possible to call out that amount which has gotten deferred to the next quarter?
And if you can also just talk about how the demand scenario is between HT and LT Motors. We had also taken a price hike out here about 5%, as we had mentioned in the previous quarter. How is that playing out? If you can just give some qualitative comments on motor and motor demand s

plit between LT/HT, particularly po st the price hike?
Amar Kaul: Thanks, Bhoomika. Yes, so I think, see, specifics, we are not giving, as I said. Approximately 15th of September onwards, we started our shipments, which were deferred for almost more than a month or so. So, we covered some bit of it, but balance will come into this quarter. So, I think that information should be good to get a feel of it, what it looks like.
Coming back to your motors. On motor side, the demand, I think, the demand is fairly strong, I think in terms of inquiry pipeline, especially on HT Motors, which I am pretty positive about.
And JK, why don't you talk about it on motors demand?

Jatinder Kaul: Thanks, Amar. Thank you for the opportunity. And Bhoomika, a very valid question. Yes, the rough est imate, the first question you asked is what the split between the LT and the HT. LT is far higher than HT. But there are a lot of big projects that are coming in the HT. If I were to give a rough estimate, it would be around 80 -20 types of ratio between the LT and the HT piece of business.
The second part of the question, what you asked, is that the price increase that was implemented earlier there in the month of July, is coming up well. It's being received well in the market, and we have got good results out of it. And it has compensated for our copper and steel prices. I also want to call out that many of our other friends also have increased their prices. So, this is a common factor that is there in the industry.
Bhoomika Nair: Okay. Thanks. So, this basically means that the margin should bounce back into the third quarter once the revenues normalize and full benefit of the price hikes takes place.
Amar Kaul: So, Bhoomika, we will not be forecasting what it will b e for the next quarter . As you know, we don't give the guidance on that. But as I mentioned, I am pretty comfortable with the motor side of the business, the way it is bouncing back. Yes, we must see the good days ahead.
Bhoomika Nair: Sure. And sir, lastly, if I can also just ask about the progress on the EV motors category. How is that progressing? Where are we on that?
Amar Kaul: I think the progress has been still slow, but I am looking forward to some exciting days ahead. So, just pause for a coup le of days more , and I think we should come back with some more information.
Bhoomika Nair: Sure sir. Okay. Thanks. All the best.
Moderator: Thank you. The next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.
Ravi Swaminathan: Hi, sir. Thanks for taking my questions, and c ongrats on a good set of numbers. My questions are related to the Power segment, trying to be slightly more granular. Can you give a broad overview as to individual subcategories, how they have gro wn during this quarter or half year, like power transformers, distribution transformers, switchgears, have they grown at the same pace or there are differences in growth?
And similarly, in terms of either revenue or order inflow or order book breakup, how the order book is across categories like renewables, coal -based, thermal, industrial applications and even breakup like power grid, SEB, private, export? Any sense on that?
Amar Kaul: See, of course, as you know, that we don't give the breakup of each busi ness and sub segment details. But the orders that we have received, are cutting across most of the sectors, whether it's power . Within power , there are a couple of orders that I remember are from renewables as well. It is for the data center. So, it cuts a cross from transmission, T&D. So, it's cutting across most

of the segments that you can think of. So, it's not one particular segment that I would say we are into.
Ravi Swaminathan: U

nderstood, sir. And in terms of growth across power transformers, distrib ution transformers and switchgears, is there any big difference between growth? Or is it similar growth in all these categories as well?

Amar Kaul: The only thing I can share right now is power is leading , because as we get into mega distribution, 400 and 765 kV. So, those are the more and more inquiries on that. But others are also catching up very fast. So, good news is everybody is into high double digits.

Ravi Swaminathan: Understood, sir. And in terms of momentum of orders, are we seeing more orders from the generation side or transmission side in the Power side?

Amar Kaul: It's across T&D.

Ravi Swaminathan: Understood. And final question with respect to capacity utilization of the switchgear facility. You had mentioned that the power transformer facility is running at almost full capacity. What is the number for the switchgear capacity?

Amar Kaul: Switchgear is also at about 85% to 88% right now. But again, the expansion that we had undertaken last coup le of quarters back. So, that's also getting executed in parallel. So, I would say, as we progress in the next few quarters, we will come down to probably 75% - 80% and again bounce back to 80% - 85%. So, that's where we are operating at.

Ravi Swaminathan: Understood sir. Thanks a lot.

Amar Kaul: Thank you.

Moderator: Thank you. The next question is from Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity, sir. Sir, my first question is on the Power Systems business. We have outgrown most of our competitors in the past 2 - 2.5 years. So, what factors have enabled the market share gains for us? Is it more about being ready with the further capacity when the competitors were not ready?

Amar Kaul: Harshi t, I wish I had one answer for you. It's a combination of many things. But what is important is our execution excellence, which is CG EDGE , as you can look at our website. I think that's what we are practicing every day, keep compressing the cycle time, go faster, double the speed of what anybody else can do. I think that's what the team, both Ajay and Gaurav from the power sector are practicing day in and day out, and that's what they are executing. So, it's a combination of many things. If it was so simple , then everybody would have done it.

Harshit Patel: Understood sir. Sir, secondly, could you throw some light on our association with Flanders for expanding our U.S. business? If you can explain the nature of our agreement, whether this is

more of a contra ct manufacturing agreement for them or something else? That will be very helpful.

Amar Kaul: Yes. So, I think this agreement is more - because in U.S., we see this big opportunity. And if you have to get into local market in U.S., most of these OEMs, they first ask for what happens tomorrow if I have a problem in my motor. So, you have to ask somebody right now if there's an issue or repair is required, somebody is there to service it at the drop of a hat. And if we start organically today to set it up, I think it will take us a couple of years till we have that infrastructure. So, the first step into the game is to have a partner who is reliable and can do a lot of it. And they do. We have seen their facilities.

They are pretty equipped across North America to do that. So, that's the association that we have. It will be joint. It's a win -win situation for both of us. They get the business in terms of repair and remanufacturing facility. And also, we ge t even warehouses when we send the motors from here.

Harshit Patel: Understood sir. Thank you very much for answering my questions. And all the very best.

Amar Kaul: Welcome.

Moderator: Thank you. The next question is from the line of Renu Baid Pugalia from IIFL Ca

pital. Please go ahead.

Renu Baid Pugalia : Yes. Thanks. Team, I have just one question related to Power Systems. While the cycle has been doing pretty well in terms of profitability and capacity expansion, strategically, from the perspective of building capabilities and expanding portfolio, can you highlight what are our thoughts in terms of broad basing our product mix beyond our switchgears and transformers into new products segment, which could be next generation beyond the current cycle? Thank you.

Amar Kaul: Very good question, Renu. And I think, of course, as we go deeper , let me touch a bit on switchgear and will let Gaurav talk about. It will be a combination of existing product portfolio that I talked about and also a bit of power electronics. So, it will be a combination. So, Gaurav, why don't you touch on that?

Gaurav Makhija: Yes. Thank you for that question there. So, I think as Amar rightly mentioned, it's a mix of the existing portfolio. So, today, beyond only switchgears and circuit breakers, we are also into the larger 765 kV bushings, both OIP as well as RAP, and that's something that CG is a homegrown solution that we have produced, our largest new product towards the existing portfolio that we have.

Second, Amar touched upon power electronics. Secondly, also about the green solutions. So, moving from SF6 to SF6 -free is some of the critical work that the teams have been doing across the factories of Nashik as well as Aurangabad from an innovation standpoint. So, yes, I think there's a clear focus along with a strong pipeline of new product developments that's getting discussed across switchgear for both the units now.

Renu Baid Pugalia : And on the technology side, where are we with respect to the GIS portfolio ? Also, does the company have any plans to get into power as in our reliability solutions like STATCOMs or so?
Gaurav Makhija: Amar, you want me to take that question?
Amar Kaul: Yes, yes, go ahead. Go ahead, take it. Gaurav.
Gaurav Makhija: Okay. So, I think the first point that you did raise about the technology, yes, on the GIS piece, I think we should be probably coming out with a complete Make in India solution for our 400 kV GIS in the next fiscal year. So, I think that's a very proud moment for C G to have the full homegrown solution coming out of the Nashik factory there. So, yes, we should be playing very strongly in the GIS segment in the future growth years as well.
So, coming on the STATCOMs , yes, I think the way Amar mentioned, there is always an eye on looking at both organic as well as inorganic conversations around technology acquisitions there. So, yes, I think, there is a thought as well as the right actions around that technology piece as well.
Renu Baid Pugalia : Thanks much. And best wishes team. Thank you.
Moderator: Thank you. The next question is from the line of Jay Negandhi from AMBIT Capital. Please go ahead.
Jay Negandhi : Yes. First of all, thank you for the opportunity. So, my question is that as per CEA's data, India has missed their power transformer installations materially for the first half of this year. So, does this pose as a risk for us , as it will take longer for our order to convert from backlog to sales? Will it im pact the growth rates in the future and the margins?
And my second question is that with our power transformation capacity coming online to 85 GVA in the coming years, what would be an expected mix of sales from global and local markets to maintain a healt hy set of capacity utilization?
Amar Kaul: Ajay, can you take that?
Ajay Jain: Yes, I can take that. So, for the increased added capacity, what we are planning in our new plant, we are planning to have around 35% to 40% of the revenues coming from exports. So, this is important for the business sustainability point of view also. An

d from the current capacities also, as of now, the exports are around 10%, so it will grow to around 20% in these , because we cannot vacate the Domestic segments as of now.
Jay Negandhi : My first question on the execution delays from power transformation installations. How would it impact our conversion from backlog to sales?
Ajay Jain: As of now, all the developers, they are taking the supplies, whether in case there are delays in their projects, even then they are supporting us by taking the deliveries and are storing the

transformers near to the locations because of the supply constraints. Because they know that if they are not taking the deliveries then these transformers beca use of standard CS specifications can get diverted to other places.
In the long run, I have a feeling with the kind of focus the government is having the right -of-way and this land acquisition. So, both things will catch up and there won't be any delays in the long run. Yes, one more reason is because of heavy rains also, there were some delays this year.
Jay Negandhi : Understood. Thank you so much. All the best.
Ajay Jain: Thank you.
Moderator: Thank you. The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia: Good afternoon, everyone. Thank you for the opportunity. Congratulations on a very strong set of numbers. I have 2 questions. So, the question that I had was that while a lot has been spoken about the OSAT business, just wanted to get a better sense of how the company is thinking to the Design business , which is the Axiro Semicon business. From the current top line that is there abou t $50 million, how would the scale up happen, both from an exports as well as a domestic perspective? Thank you.
Amar Kaul: Yes. I think, it's a good question. And as you would appreciate, this is just the beginning of it. We didn't just buy this company t o stay at that level. So, we have much larger plans, and that's what keeps us awake at night in terms of strategy, where do we go from here, more and more

acquisition, complementing, hiring more people, more tech people to make sure it goes in the long way .
Now right now it is for Radio Frequency business , but we are also thinking of expanding into other technologies as well. So, a lot to come. Just be a bit patient to keep hearing from us on that.
Aditya Mongia: Got that. The second question that I had, ma ybe the design part, we can discuss later more. But then just a bookkeeping question on the Power Systems business. Of the INR 10,000 crores of backlog, which is there, what would be the average execution period? Would it be closer to 1.5 years or 2?
Amar Kaul: So, total backlog I think even the last order that I would say will get executed even after 24 months. It doesn't mean that we have to wait for 24 months. We can do it much before. But yes, customers are placing orders up to that duration.
Aditya Mon gia: Is that representative of the entire order book? Just trying to get a sense. As in would INR 10,000 crores be executed like INR 5,000 crores, INR 5,000 crores over next 2 years? Or just trying to get a better understanding.

Amar Kaul: No, that's why I said, one of the orders that I see is going up to 24 months. But we are filling up in between as well as we are opening the capacity. So, something will be 12 months, something will be 18 months, something will be 6 months depending on if it's a distribution transformer, can go in 6 months. It's a 765 kind of transformer , will take 18 months. So, along the portfolio, it will keep varying.
Aditya Mongia: Got that. Those were my questions, and all the very best to you.
Amar Kaul: Thank you.
Moderato r: Thank you so much. The next question is from the line o

f Priyesh Babariya from Mahindra
Manulife Mutual Fund. Please go ahead.
Priyesh Babariya : Hi, sir. Good evening. Thank you so much for the opportunity. And c ongratulations for the good set of numbers. Sir, just 2 questions on the Semicon part related to what Aditya had asked. So, first is, if I have heard correctly, we are expecting revenue of around $50 million in FY '26 in the current fiscal on Axiro. While if I recollect, it used to do around $56 million, $57 million. So, is it that this business is taking time to scale up or we waiting for CG Semi to actually come into, to have a synergy between these 2 businesses?
Amar Kaul: Yes, I think, what you have to appreciate is, yes, I think if I remember the numbers, they are almost same level, as last year was about $55 million, $56 million. This year, if we are doing $50 million with the acquisition, getting the people up and running, getting the whole infrastructure done and you are reach ing that stage, I would say the team would have done a fantastic job.
Priyesh Babariya : Sure. And the second question is, while we reported around INR 22 crores EBIT loss in the same segment, just if you can please break it down between CG Semi loss and Axiro profits? Thanks.
Susheel Todi : So, Axiro is at breakeven level. So, they are not making any loss at this point of time.
Priyesh Babariya : Sure. Thank you so much, sir, for answering all those questions.
Moderator: Thank you so much. Ladies and gentle men, that was the last question for the day . I would now like to hand the conference over to Ms. Renu. Please go ahead, ma'am.
Renu Baid Pugalia : On behalf of IIFL Capital we would like to thanks the management for giving us the opportunity for hosting thi s interaction. I now hand over to the management for closing comments, if any.
Amar Kaul: No, thank you. Thanks for listening to us and enjoyed all the conversation and the relevant questions. Thank you. Stay tuned with us. Look forward together to grow and see the exciting times. Thank you so much. Cheers.

Renu Baid Pugalia : Thank you.
Moderator: On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may disconnect your lines now.

Call: Jan 2026

"CG Power and Industrial Solutions Limited
Q3 FY'26 Earnings Conference Call "
January 27, 202 6

MANAGEMENT : MR. AMAR KAUL – MANAGING DIRECTOR & CEO
MR. SUSHEEL TODI – CHIEF FINANCIAL OFFICER
MR. MARIAS NEL – EXECUTIVE VICE PRESIDENT ,
DRIVES & AUTOMATION AND INTERNATIONAL
MOTORS BUSINESS
MR. GAURAV MAKHIJA – VICE PRESIDENT ,
SWITCHGEAR AND EPD BUSINESS
MR. AJAY JAIN – VICE PRESIDENT , TRANSFORMER S
BUSINESS
MR. DHANANJAY BAPAT – VICE PRESIDENT , RAILWAY
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MR. JATINDER KAUL – EXECUTIVE VICE PRESIDENT ,
MOTORS BUSINESS
MR. SRIRAM RANGARAJAN – EXECUTIVE VICE
PRESIDENT , HEAD, CONSUMER PRODUCTS BUSINESS

MODERATOR : MS. RENU BAID PUGALIA – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to CG Power Q3 FY '26 Earnings Conferenc e Call hosted by IIFL Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that th is conference is being recorded.
I now hand the conference over to M s. Renu Baid Pugalia from IIFL Capital. Thank you, and over to you, ma'am.
Renu Baid Pugalia: Thank you, Shubham. Very good afternoon, everyone. On behalf of I IFL, I'd like to invite the management of CG Power and Industrial Solutions to discuss the Q3 FY '26 results. From the management team today, we have with us Mr. Amar Kaul, Managing Director & CEO ; Mr. Susheel Todi, Chief Financial Officer; Mr. Mar ias Nel, EVP, Drives & Automation and International Motors business; Mr. Gaurav Makhija, Vice President, Switchgears and EPD business; Mr. Ajay Jain, Vice President, Transformer Business; Mr. Dhananjay Bapat, Vice President, Railway Business; Mr. Jatinder Kaul , EVP, Motors Business; and Mr. Sriram Rangarajan, EVP, Head Consumer Products business.
I now hand the call to Mr. Amar Kaul for his opening comments, after which we can start for Q&A. Thank you, and over to you, Amar.
Amar Kaul: Thank you. Thanks, Renu and team. Good afternoon, everyone, and welcome to the CG earnings call. Starting with a summary of results, I'm very pleased to share with you all that we have delivered outstanding set of numbers for the quarter and the 9 months ended December 31, 2025, reflecting operating discipline and strategic focus using our CG edge as a tool . This is yet another quarterly performance with all -time high stand -alone revenue and PBT after accounting for exceptional items.
Our quarter 3 sales grew by 22% year -over-year and PBT before EI grew by 35% year -over-year, and we have achieved 148 basis points margin expansion in PBT during quarter 3 financial year '26. Further, the orders remain robust with backlog strengthening further to 66% year -over-year to INR 14,859 crore , reflecting sustained demand across all the businesses.
Now going deeper into Q3 stand -alone performance. Aggregate sales for the quarter were higher at INR 2,909 crores, recording a growth of 22% year -over-year. And PBT was higher with a growth of 35% at INR 454 crores, which is 15.6% of sales as against INR 338 crores in Q3 previous year. And exceptional items include incremental impact due to introduction o f new labor code effective 21st of November '25.
Return on capital employed for the quarter was 23% and the order intake for the quarter was INR 4,096 crores, which is about 13% growth year -over-year. And unexecuted order backlog as of December 31 was INR 14,859 crores, which is 66% up

Now if we go deeper into the each of the segments, starting with Industrials. While we saw a steady sales growth with margin impact coming due to commodity cost headwinds, aggregate sales for the quarter was at INR 1,585 c rores, which is 8% year -over-year and a healthy growth

across motors and railway business. PBIT was at INR 149 crores, which is 9.4% of sales as against INR 184 crores, which was 12.5% of the sales in quarter 3 last year.
Margin changes driven by lower pr ice realization and product mix changes in the railway segment as well as lower gross margin in motors due to significant commodity inflation that could not be passed on entirely to the market. And this adverse movement was partially offset through the cos t optimization, operational productivity and disciplined pricing. And the business will cont

inue to focus on margin improvement through cost optimization initiatives, pricing and improving our product mix.
Order intake for the quarter was INR 2,050 crores , which is 9% increase year-on-year, and the unexecuted order backlog as of 31st December continues to be sequentially better at INR 3,569 crores, which is 20% higher year-over-year.
If we go deeper into the Power Systems, it has shown continued growth trajectory with further margin expansion supported by healthy underlying market and execution discipline. Aggregate sales for the quarter was at INR 1,326 crores with a sharp rise of 44% year-over-year, supported by robust execution discipline.
PBIT was at INR 283 crores, which is 21.4% of sales as against 17.6% of sales in the previous year same quarter. 378 basis points margin expansion driven by improved price realization, reflecting robust demand trend and enhanced operating leverage. And order intake for the quarter was INR 2,046 crores, which is 16% growth year -over-year, and unexecuted order backlog as of December 31 was INR 11,289 crores, which is 89% higher year -over-year, provid ing multi - quarter visibility.
With this, we conclude deep -dive into our standalone performance, and I'll now move to consolidated performance. And the consolidated results includes the performance of our operating subsidiaries in Sweden, Germany, Netherla nds, which is Drives & Automation as well as CG Adhesive Products, CG Semi Private Limited, G.G. Tronics and Axiro Semiconductor Group and the non -operating subsidiaries.
Aggregate sales for the quarter was INR 3,175 crores at a growth of 26% year -over-year. PBT before extraordinary income was 25% higher at INR 420 crores, which is 13.2% of sales for the quarter as against INR 335 crores in Q3 FY25 , which is 13.3% of the sales. Margin gain is driven by strong stand -alone performance, were offset by continu ed investment in the talent pool for semiconductor business and deferred revenue in Axiro on account of holiday -related timing of customer activity . Total semiconductor segment impact wasINR 41 crores, which is 130 basis points.
Return on capital employed for the quarter was 21% and the order intake for the quarter was INR 4,372 crores. And unexecuted order backlog as of 31st of December was 62%, up year - over-year at INR 15,753 crores.
Finally, I would like to share about the major order win achieved earlier this month. CG secured one large order of INR900 crores, which was about $99 million of power transformer export

orders from Tallgrass in U.S. It's a large -scale data center project in the United States. And this order was received on 16th of January as the single largest order ever in the history of CG Power. And this is a direct export to U.S. for supply of our transformers. Under this contract, CG will supply power transformers s pecifically engineered to meet the stringent reliability, efficiency and uptime requirements of hyperscale data center applications, and this order will be executed over a delivery period of 12 to 20 months.
With this, I will conclude my opening remarks . The unaudited financial statements with detailed notes are available as part of stock exchange filing and on our company website. Thank you for listening in, and back to you, Renu, for Q&A.
Renu Baid Pugalia: Shubham, could you start with the Q&A?
Moderator: Okay. Thank you very much. The first question comes from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.
Ravi Swaminathan: Congrats on a good set of numbers. My first question is with respect to the order intake for the Power Systems segment. So it has seen 16% growth, it's a healthy number, but in the previous

quarters, we had seen a significantly higher kind of growth in the order inflow momentum. So
just wanted to check with you, are yo

u seeing any signs of at -the-margin slo wness in the ordering
momentum in the Power Systems segment, especially related to the domestic renewable
category?

Amar Kaul: Thanks, Ravi, for the question. See, a quarter -to-quarter variation will always happen. So we are
not seeing any decline or slowd own in the pipeline of the orders that we have. So I think it
continues to be as strong as it has been and growing as well.

Ravi Swaminathan: Understood, sir. Secondly, on the motors piece, if you could call out on what would have been
the volume growth in the LT and HT motor? So we have seen a revenue growth of around 8%,
9%. How much would have been contributed by price increases and how much would have been
contributed by LT and HT motor volume growth? And are you seeing a recovery in the demand
for LT m otors? And how is the price increase holding up?

Amar Kaul: So a couple of answers to your multiple questions that you asked. So on the market size, yes,
there is definitely an improvement versus the last few quarters that I've been talking about. It
was n egative, if you look at the data. It has crossed the bridge of being flat or a little better than
that. But I think the good news, as we shared, is if you are getting 8% up, which means you are
either eating through the market share or putting across the v alue proposition in front of the
customers.

So yes, it's a combination of the price increase that we did. The realization has been fairly good.
We are satisfied with that. Of course, it could not completely cover the increase in the
commodit y prices . But we are still working on that. And second is also, if you look at, a little bit
of stress on PBT also -- we are working aggressively on the I2V piece, which is Innovate to
Value. So that activity is also happening in parallel. So both these should hel p us to come out of

these difficult situations. So to your question, answer is, yes, a combination of volume as well
as the top line from the price increase.

Ravi Swaminathan: Understood. And with respect to the commodity price increase and currency deprec iation, how
much more price increases are required, say, from the fourth quarter onwards? And how is it
likely to kind of pan out for both the Power and Industrial segments? So how does it work in the
Power segment? Fresh orders are benchmarked to the curr ent commodity prices and passed on
to end customers. Is it the way of understanding? And with respect to the Industrial segment,
also with respect to motors, how much more price increase is needed for both LT and HT
Motors?

Amar Kaul: See, price increase, the thumb rule for the industry is very clear. Any inflation has to be passed
on to the customer. So that's the way it happens. So if commodity still doesn't behave well,
obviously, there will be forthcoming price increases coming in the market. That's typ ical to the
industrial business that we are in.

But if you go to power, most of the business, we have the PVC clauses, which is a price variation
clause. So any change in the commodity that happens, we get the compensatory amount on that.
So that is an amount to change in the pricing. But yes, that gets compensated, which is a typical
industry factor.

Ravi Swaminathan: And the price variation clause...

Moderator: Sorry to interrupt Mr. Ravi. We request you to return to the question queue for t he fo llow-up
question. The next question comes from the line of Ankur Sharma from HDFC Life.

Ankur Sharma: Two questions on the Power segment. First, obviously, there have been some media reports
saying that the government could potentially allow Chinese player s to bid for PSU tenders. So
just your thoughts on this, what are you hearing when you interact with the Ministry. And are
you seeing anything in that direction, is my first question.

Amar Kaul: So a lot is going on in t

hat direction. And as we interact wi th the ministries or with the utility
companies and the customers, honestly, as CG, we are not really worried about that even if
Chinese players come in. Im portant is level playing field.

I'm a big fan of saying that, with the level playing field, we have to be operationally efficient
and then we can compete with anybody, whether it's the Chinese players or Japanese or Indian
players. Yes, we have to be competitive. So that, we'll continue to do. But I think an important
thing is having that level playing field, which I think as of today, what we see, I don't see a
concern on that at all.

Ankur Sharma: Can you just elaborate a little more? When you say level playing field, you mean that they need
to come and set up shop in India? Is that what you mean in terms of a blanket imports?

Amar Kaul: Setting a shop in India is not a problem, that's level playing field to me. I'm saying -- when I say level playing field it means that you don't get any special benefit or special privileges or special

incentives by t he respective governments. Then it will be a problem for the industry, not for us only, which I don't get that feel or that advantage people will have.

Ankur Sharma: Okay. So you do expect that there could be some relaxation, but as long as it's level play ing field is what you would expect to see. Is that how we should understand over the time?

Amar Kaul: See, that the government has to decide whether they allow Chinese companies or not. We don't control that. I'm saying even if it comes, basis our conversa tion with industries, that's the only thing we have to go across, let it be a level playing field. So we control our destiny by being operationally efficient. That's all I would say.

Ankur Sharma: Okay. Fair. And just a second one. On this large transforme r order which you got for this data center in the U.S., if you can just talk about what more could be there in the pipeline, how much of an opportunity does it really open for a company like CG in terms of export orders for data centers?

Amar Kaul: See, da ta center -- all of this renewable data center is one of the key vertical for us. So it's not that this order has come by fluke or it just suddenly came up. We have been working on this for last 2 years religiously on these key account management, the vert ical focus of the industry, and that has started giving us some of these results . So we are of a firm opinion that derisking strategy of being domestically strong as well as keep divesting a bit on the outside India as well so that there's a focus on both the sides. So you don't put all eggs in one basket.

Moderator: The next question comes from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: I just wanted to understand, sir, the outlook for domestic power transmission business. If we talk about 3 -5 years, do you see a sustained order pipeline because government has published recently a new NEP where there is a high amount of capex in power is going to take place. So do you think we are in a phase where growth could be extended well above 5 years?

Amar Kaul: Yes. See, I think if you would have noticed in the last couple of quarters, even in the earnings call, I have always been bullish about it. So last year, also I said next 5 years, up to '29, I don't see a concern that this sector will not grow. Unless something catastrophic happens, then obviously, that's out of control of everybody.

Otherwise, the way expansion plans are, the way government is expanding infrastructure, power generation, so I don't see anything slowing down up until 2029. And of course, it can go beyond that as well. But it's a combination of publicly available data as well as what we see in the market.

Moderator: The next question comes from the line of Mohit Kumar from ICICI Securi

ties.

Mohit Kumar: My first question is on the Power Systems. Is it fair to say that the price variation clause is present in almost the entire order book?

Amar Kaul: Yes, almost.

Mohit Kumar: Understood. My second question on -- of course, you have won a very large order of export from U.S. Can you please confirm whether this order was not part of the order inflow announced for Q3? Is that right?

Amar Kaul: No. This has come -- I think you see the date as 16th of January. So this is not added in last year results. This is for the current quarter .

Moderator: The next question comes from the line of Atul Tiwari from JP Morgan.

Atul Tiwari: And sir, on the Power Systems margins, which have obviously expanded quite a bit this quarter again, my question is, for the new orders that you are getting, for the Power Systems in the domestic market, are the margins similar? Or they are even higher than what you're reporting today?

Amar Kaul: I would say with the backlog that we have, future is bright.

Atul Tiwari: Okay. So roughly similar margins that you are reporting today. I mean, we should be able to hold on to these margins. Is that a fair conclusion?

Amar Kaul: See, I'll not be able to tell you exactly what my backlog margins are, but there's a very disciplined process of order intake to the backlog marg in, how dividend stands. So each of the business leaders for each of the businesses are on top of it, the quality of incoming orders, at what quality we are getting in. So I think there's a very disciplined process in place. So I think we are very much in control of that.

Atul Tiwari: Okay. And sir, the second question is on the OSAT business. So I mean, could you give some update on what is the kind of ramp up we are seeing in the facility that we commissioned a few

months ago? And when is the next bigger facility likely to come online? Any updated color on that.
Amar Kaul: You mean for transformer or...
Atul Tiwari: No, no, for the OSAT business, the semiconductor business.
Amar Kaul: So OSAT, as you would have heard last time, the mini plant, which we call M1, has already started, commenced its activity. I think next 2 quarters, we should start sales out of that on a small scale, and then it will keep graduating. I would say, next 2 to 3 quarters, you'll start seeing a decent amount of sales coming. But it's a small plant, in any case.
And the new plant, which is the bigger plant, M2, as we call it, that should be ready by end of December 2026. And so I would say Q4 of next financial year is when we start some activity. The lead time for customer approv al and validation of the chips doesn't take as much time as the mini plant takes. So yes, there will be some time. I would say, another 1 year or so, it should be operational.

Atul Tiwari: And sir, in terms of yields, et cetera, that you are getting in the mini plant, will you be able to comment on that, what kind of deals, et cetera, we are getting? Is it in line with whatever you have anticipated?
Amar Kaul: It's much better than what we anticipated because the business case was much lower. But I think today, we are operating at about 98%, 99% kind of yield, which is a good situation.
Moderator: The next question comes from the line of S. Kapur from Jefferies.
S. Kapur: Just wanted to ask you again on the potential re -entry of Chinese players. So assumi ng, as you said, there is a level playing field, but they do come back into the market, do you see potential pressure coming back on pricing and, as a result, any pressure on your margins going forward, in case they do come back and it is a level playing f ield?
Amar Kaul: We have not seen anything like that until now, for sure.
S. Kapur: No, I mean, in case they

do start coming back in a year from now, could there be certain pressure on pricing, just directionally, if you could comment on that going forward ?
Amar Kaul: See, that's why I said, the answer is very simple. Nobody can predict what will happen after 1 year. Important is how do we flex our muscles in the gym to be prepared for the worst case scenario after a year. I think that's what we are focusin g on. To me, that's a leading indicator. How do we become more operationally efficient and how do we keep expanding not only in India, outside India as well. So with that focus, I think that's the only way -- to me, that's a leading indicator. So that's wh ere we're focusing on.
S. Kapur: Sure. And just to carry on with this, are there any segments where the Chinese players are more likely to come in, maybe in the extra high voltage or high voltage? Do you have any visibility or clarity on that as to which s egments they're more likely to enter and where we might potentially see more participation from them?
Amar Kaul: See, even if -- I think your worry is on the Chinese players. So now what are we talking about? I mean you can count on tips. It's probably 1 c ompany that will be in India, and they are sold out for next 2 years. So where is the worry? So even if they start expanding today, to get transformer manufacturing up and running is 24 to 36 months.
So you're talking about 2 years plus another 2 years, so 4 years, and we'll talk after 4 years. But that doesn't stop us from being -- should not make us complacent. I think important for us is, how do we keep flexing our muscles to be prepared for the worst, whatever happens.
Moderator: The next question com es from the line of Aditya Mongia from Kotak Institutional Equities.
Aditya Mongia: My first question was more on the OSAT business. I wanted to check basis our discussions with customers, how much of our full capacity already would have a customer -- obviously, pending clearances, already would be having a customer today?

Amar Kaul: As a percentage, I think about 1/3 of the capacity is our collaboration with Renesas, so that's part of the agreement. So they will pick it up, and there's a lot of discussion going on with multiple agencies. And I think longest lead time we see is auto industry because it's not easy to get those approvals. So that takes a bit of time. So it's a combination of multiple type of customers that we have right now going on.
Aditya Mo ngia: And just a clarification over here. When you book a segmental loss -- when the company books a segmental loss in the semiconductor segment, is it all linked to the design business? Or are some costs linked to OSAT also getting expensed out? If you ca n provide a breakup would be

useful for us to understand the underlying design business better.
Amar Kaul: No, I think both are separate because design is the Axiro, which I think the Board meeting already happened. So I'm not worried about Axiro because t hat's already -- we committed about $64 million we'll do for the year. How much? $55 million, $56 million, I think should do that. And I'm very sure with that, we should be able to breakeven, so we don't have to really fund that. CG Semi, it's like a sta rt-up. So I think it's going to take some time until you see that it starts making money. So it's investment for the future. So you cannot expect that from day 1, it will start making money. And we are prepared for that.
Aditya Mongia: Understood. Sir, the second question I had and my final one was on the Power business as in I recall your comment of a fairly large part of the incremental capacity that you add up being focused on exports. Could you give us a sense of what all milestones should one be tracki ng for gauging the progress over here on the exports side essentially? Countries that one will be focusing on

, the kind of clearances that are required, whether they're already there or not. Just trying to get a sense of how fast can be the scale -up in exp orts on the power side? And that's my final question.
Amar Kaul: You mean exports for power sector, right?
Aditya Mongia: Yes, exports to power sector?
Amar Kaul: No, I think exports for power has already started picking up. If I look at my -- I'll not go through the numbers right now, but I can give you some reference of the order pipeline. For exports, has gone up by more than 50% in the last 9 months. So April until December last year, to April until December this year, we have more than 50% growth on th e exports bookings, which is orders. So that itself shows you that the wheel has started moving in the direction.
Moderator: The next question comes from the line of Saif Gujar from ICICI Prudential AMC.
Saif Gujar: My first question is on the Kavach part. So on the order with G.G. Tronics from CLW, which got canceled due to end of the 12 -month delivery period, can you highlight where are you on the product development part? And how do you expect future orders from these because we saw some other players re ceive fresh orders in the recent tenders. Your thoughts on that.
Amar Kaul: Can you repeat your question exactly, on Kavach?

Saif Gujar: Sorry. Am I audible? On the Kavach part, so with the order -- with the first order from CLW which got canceled, I think , because it's a 12 -month period getting over, where are we on the product development part? And do we expect future orders to replace this existing order because you have seen some other players get orders from CLW as a replacement after the tenders got lapsed for them?
Amar Kaul: I think the team is progressing. Of course, there was a delay in initial approval because we are also doing it for the first time. But I think approval process has almost reached the end. The passenger trials are about to start n ow, which should take another 4 to 5 weeks. So I'm expecting that in this quarter, we should be done with the approvals and commence the supplies as well. And there's already a bigger order, which we have shortlisted, so final order should be coming very s oon.
Saif Gujar: Sure. And the second question on the data center , $99 million order on the Power Systems side, the exchange filing had mentioned 12 to 20 months of execution period. So just to understand, because this is beyond 12 months of delivery, i s it more to do with the capacity, which we have available? Or there is a product development phase involved because this is for U.S., maybe a different type of products which will be involved? And these are what, kV class transformers?
Amar Kaul: See, the se are -- none of these transformers are standard transformers. They're customized to the customer. So design is a critical piece of each of these power transformers. And that's also what we discussed and negotiated basis the customer pull as well . So that 's the range that we have. And Ajay, you can talk about the capacity or power, what kV these are.
Ajay Jain: Yes, sir. These are 330 kV transformers.
Saif Gujar: Okay. And so beyond 12 months, execution is more to do with the product development also becau se they are customized transaction.
Amar Kaul: Yes, it's a combination. Each of these power transformers are a combination of all.
Moderator: The next question comes from the line of Anupam Goswami from SUD Life.
Anupam Goswami: Sir, my first question on t he competition, we see that the transformer industry grew as well as some other players or your peers are putting their capacities, and most of them are coming in the next 1 or 2 years. How do we see the competition going forward vis -a-vis the demand? And do we see any pricing pressure or any signs, which is coming right now are you seeing? That

is my first.

Amar Kaul: So I think, Anupam, if you look at the forecasted data, up to '29, '30 also, the capacity being put in by all the players in this industry i ncluding CG and the demand, even if you compare only with India -India, in 2029, this still will be a shortfall. So that answers the question that you're asking for. And this doesn't even add to the capacity gap that we have outside India as well. So I don' t see any concern on that in spite of all the companies putting in there. There's enough room for everybody to be playing in.

Anupam Goswami: Okay. Sir, what is the capacity utilization? And how do you see the ramp -up of the new setup going forward?
Amar Kaul: So ramp -up is going on. Your question is specific transformer, right?
Anupam Goswami: Yes.
Amar Kaul: Yes. So I think capacity is going on pretty well. I think just 3 quarters back, we were at 20,000 MVA. We are already 40,000 MVA. And in the next 1 quarter or so, we'll be 65,000 MVA. I think that's the kind of jump we are making. And hopefully, next 2 to 3 quarters , we'll be adding another 10,000 to 20,000 MVA more into that from that facility. So once we get better visibility of that, we'll, of cour se, announce that.
Anupam Goswami: So as a result, given the order book, capacity utilization could also be pretty high on ramp up soon after the capacities are in place?
Amar Kaul: Yes.
Moderator: The next question comes from the line of Subhadip Mitra fr om Nuvama. As there is no response from the current participant, we will move towards the next question. Next question comes from the line of Sumit Kishore from Axis Capital.
Sumit Kishore: I have two questions. The first question is, in the Industrial Sys tems business, the 310 basis point odd year -on-year drop in PBIT margin, how much of this is sticky or how much of this is rather temporary factors? You have identified two reasons. One is the lower price realization and product mix changes in the railway segment.
If you could speak about that separately as well as the impact due to the commodity inflation in Industrial Systems. So like you said, Power Systems, everything has the price variation clause. If you could also explain how the impact in Industria l Systems on commodity would play out. That's my first question.
Amar Kaul: Sure. I think for power, it's fairly simple with the PVC clause which is there. But in industrial, it's a race against the commodity inflation that you have. But I think we are str engthening our speed of response . If you would look at last 3 quarters, 9 months, we have increased our price by almost 17%, including this month, which will show us the impact in the forthcom ing months for the realization.
So we have been pretty aggressi ve on that. And the good news is that the market has been absorbing that price fairly well, much better than our expectation. So we don't have to really drop the prices. So yes, it's a catch -up game right now. But yes, we will find a way to stay ahead of the curve to make sure we are compensating for this gap.
Sumit Kishore: And on Railways, sir?

Amar Kaul: Railways, I think there was a -- I would say it will take a few more months to come back on track because there were a couple of issues in between. If y ou remember, last quarter, the supplies were stopped for some time and then it started, and there was some service issue which got resolved. So there were a bit of leakage on that.
For our U.S. exports, we are going a bit slow, although the number is not very substantial there. But with the duty structure, we have kind of slowed down on these areas. So that also is a bit of impact versus what we had considered for our profitability as well . But I would say, each one of these a re momentary

to compensate for.
And now we have the new leader. Also, whatever leadership changes were required, we have incorporated. So Dhananjay is our new leader for Railways and he's really looking at this business from the fresh pair of eyes. So more to come.
Sumit Kishore: Got it. My second question is on exports. So basically, in the 9 -month period so far this fiscal, how much have exports been as a percentage of your sales? How have exports grown on a year - on-year basis versus your overall sales growth? And like you mention ed, your Power Systems prospect pipeline is up almost 50% year -on-year. What is the situation on the Industrial Systems and Railways side then?

Amar Kaul: No. The number that I gave you is the overall number. It's not with respect to Power or Industrial, so it's the overall number. So the action is across the segment. So that's why I gave you the overall number.
Sumit Kishore: Sure. And export revenue is how much for the year so far?
Amar Kaul: Revenue, we'll start to get, first you have to get the orders. So that's coming. So that depends on execution. So as we keep going forward, you'll see the improvement in the revenue as well.
Moderator: The next question comes from the line of Sameer Thakur from AMBIT Capital.
Sameer Thakur: So the order for the data c enters, I just wanted to check whether we have enough bandwidth to deliver from the existing facilities or will there be a combination of existing and new facilities?
Amar Kaul: This can be done in the existing facilities.
Sameer Thakur: Okay. Fine. Just o n the price variation clauses as well, so on the commodities, as you said, we can pass on the prices. Is there any cap on that or you can pass on the entire inflation for commodities?
Amar Kaul: I don't think there is;not that I am aware of – if there's any cap on that, but I think it's the actual -- yes, it's on actual. I don't think there's any cap on that.
Moderator: The next question comes from the line of Umesh Raut from Nomura.

Umesh Raut: My first question is on Power Systems side. If I look at re venues on a stand -alone basis, those are up by about 66% on quarter -on-quarter despite, I think, commencement of additional 17,000 MVA capacity fully in third quarter. So is it fair to assume that order backlog conversion into execution is slightly slower because of longer time lines of orders with respect to transformers?
Amar Kaul: Not really. I think if you look at the capacity expansion, the speed we are doing it, I don't think I have heard about anybody else doing it. As I said, just 1 year back, yo u got 17,000 MVA capacity. Today, we are already at 40,000, 45,000 MVA, and in a quarter's time we will be 65,000 MVA. So we are progressing much faster. But that's a good pressure to have because the order pipeline is stronger, and that puts more pressure on us, which is a good, nice pressure. So it's working in parallel, both order inflow versus the capacity expansion.
Umesh Raut: Got it. And one clarification. I think during last call, I think you had mentioned about 85,000 MVA kind of capacity by about FY '28 end. Now you are saying, I think within the next couple of quarters, we are anticipating 65,000 MVA. So are there any plans of preponement of capex with respect to transformers?
Amar Kaul: Yes. That's why I said, as we get more clarity. But yes, I'm looking at a minimum of 1 year ahead of the time. What we planned for, what the Board had approved for up to 2028, I'm sure that our team should be able to do it at least 1 year before. But yes, the moment we have more clarity, we'll keep sharing with you as well as with the stock market.
Umesh Raut: Understood. Second question is on the export market. If you can help us with the co mpetition that you observed in case of the orders, especially the one which you won in case of a d

ata center
market in the U.S. So how was competition like? And is it one -off order or it is more of a collaboration with the prospective customer? And similar ly, I think what all other geographies you're targeting within exports?
Amar Kaul: So I'll only share what I'm allowed to share. This INR 900 crore order that you have, and I gave a statement that our export orders are more than 50% up across all the segm ents, and that does not include this INR 900 crore . That's over and above because that's for current quarter, right? So it's not one odd cas e or a fluke that has happened.
It's a hard work that our leaders, along with their teams, have been doing over the past 2 years and now reaching that stage of reaping the benefits of it. And I think what we have seen at high level, and it's not that only that we are dependent on U.S., so it's across different geographies. It's a very clear laid out go -to-market str ategy with very few markets.
It's not all over the place. We are not getting to all over the place . Which countries? That, obviously, I am not able to share with you at this point of time. But yes, what we have seen is we are selling basically our speed, the technology and the reliability of the product that we have. I think these are the three things that we have seen that customers are willing to partner with us.
Umesh Raut: Got it. And last question, if you can help us with profitability of these export orders? I mean, tentatively, how much higher margin whether these orders can give you? And in terms of price escalation clause as well, I think if that is incorporated in export pay orders or not?

Amar Kaul: On the second question, yes, I think we have se cured CG's interest for any of these export orders.

It's part of the contract. And to your first question, I would say we just started the game here. So as we keep executing and this will come in, you will see the margins and the profitability in the P&L.
Moderator: The next question comes from the line of Harshit Patel from Equirus Securities.
Harshit Patel: Sir, could you give us an update on the EV motor development and safety? Is our product now approved with the three -wheeler OEM, where it was in the t esting phase? Also status of the motor and controller for the trucks that we are developing?
Amar Kaul: You mean EV motors, right?
Harshit Patel: Yes, sir.
Amar Kaul: Yes. So EV motors and controller, so it's almost done. That is still in progress. And for the trucks, that discussion is still going on because there's some transfer of technologies that we are working on. And as we get close to that, we'll, of course, be announcing it.
Harshit Patel: Understood. Secondly, you had announced a capex of about INR 750 crore towards the switchgear business in the previous quarter. What would be the potential revenues from this expansion at the full utilization? Also, when do we plan to complete this particular capex ?
Amar Kaul: Your question was on the switchgear expansion, right?
Harshit Patel: Yes, sir, in last quarter that you have announced about INR 750 crore .
Amar Kaul: That's right. So I think we have taken a step in between. I think after today's Board meeting, we also took the approval for brownfield in b etween because the new plant will take more than a year to come up. And we can see very strong demand, not only in India but outside India as well. So I think in the next couple of months, we'll be ready with our brownfield, which is close to our existing facility. That will come up, and I think that itself should give us close to INR 400 crores incremental revenue or sales.
Moderator: The last question for the day comes from the line of Subramani am Yadav from SBI Life Insurance.
Subramaniam Yadav: Sir, what would be our current tariffs on our product to EU? And how do we benefit

out of this
FTA?
Amar Kaul: Can you please repeat your question, sir?
Subramaniam Yadav: Sir, just wanted to un derstand what is our current tariff on our products, maybe motor, or switchgears?
Susheel Todi : There is no actually tariff yet . No export is there on Mumbai port.

Subramaniam Yadav: Sorry, sir?
Susheel Todi : No tariff on our product as of now. So whatever we export to U.S., that is based on the FOB prior to the Mumbai port, and the tariff is borne by the company.
Subramaniam Yadav: Sir, I'm talking about EU, not U.S.
Susheel Todi : EU, the free trade agreement is signed today only right? We'll see that we'll come back to you on this.
Subramaniam Yadav: Currently, we pay some tariff on our products?
Susheel Todi : Not any tariff, no.
Subramaniam Yadav: Okay. So not much benefit out of this deal?
Susheel Todi : Yes.
Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to Ms. Renu Baid Pugalia for closing comments. Thank you, and over to you, ma'am.
Renu Baid Pugalia: Thank you. On behalf of IIFL Capital, I'd like to thank all participants and the management for participating. Amar, any closing comments that you would like to make?
Amar Kaul: Thank you. Thanks, Renu. And thanks, everybody, for joinin g us. I appreciate all the good questions. So stay tuned with us for the exciting times ahead. I love this interaction every quarter. Thank you.
Renu Baid Pugalia: Thank you.
Moderator: Thank you. On behalf of IIFL Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

"CG Power and Industrial Solutions Limited
Q4 FY'26 Earnings Conference Call "
May 06, 2026

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INDUSTRIAL SOLUTIONS LIMITED
MR. AJAY JAIN – VICE PRESIDENT , TRANSFORMER S
BUSINESS – CG POWER AND INDUSTRIAL SOLUTIONS
LIMITED
MR. DHANANJAY BAPAT – VICE PRESIDENT ,
RAILWAY S BUSINESS – CG POWER AND INDUSTRIAL
SOLUTIONS LIMITED
MR. JATINDER KAUL – EVP , MOTORS BUSINESS -
INDIA SUB -CONTINENT – CG POWER AND INDUSTRIAL
SOLUTIONS LIMITED

MODERATOR : MS. RENU BAID PUGALIA – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the CG Power Q4 FY '26 Earnings Call hosted by IIFL Capital Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on yo ur touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Renu Baid Pugalia, Senior Vice President, Research, IIFL Capital. Thank you and over to you.
Renu Baid Pugalia: Thank you, Jitesh . Very good evening, everyone. On behalf of IIFL Capital, I'd like to invite the senior leadership team of CG Power and Industrial Solutions to discuss the fourth quarter FY '26 earnings performance. From the management team today, we have with us today, Mr. Amar Kaul, Managing Director and CEO; Mr. Susheel Todi, Chief Financial Officer; Mr. Marias Nel, EVP Drives & Automation and International Motors business; Mr. Gaurav Makhija, Vice President, Switchgear and EPD business; Mr. Ajay Jain, Vice President, Transformer Business; Mr. Dhananjay Bapat, Vice President, Railway Business ; and Mr. Jatinder Kaul, EVP Motors Business, India sub -continent.
I now hand over the call to Mr. Amar for his opening comments and explain us how do we deliver stellar performance in the business, especially Power Systems surprising yet again. Thank you and over to you, Amar.
Amar Kaul: Yes, thanks. Thanks, Renu and team. Good afternoon, everyone and welcome to CG earnings call. I'm happy to share with you all that CG had once another strong set of results for the quarter and year ended 31st March 26, reflecting our continued momentum powered by disciplined execution and strategic focus. This is a record fiscal year performance for CG in recent times. Very strong Q4 caps off a record fiscal year with highest ever standalone revenue, order book , and PBT after accounting for exceptional items.
Our Q4 FY26 sales grew by 22% year -over-year, PBT (excluding EI) at 43% year -over-year with 260 basis points margin expansion, delivering a strong finish to a record year. And for the full year, our sales grew by 21% year-over-year, PBT (excluding EI) at 34% year -over-year with 143 basis points margin expansion and again making it a strongest standalone fiscal performance yet. Further, the order flow remained pretty strong during the quarter with penetration into several new and emerging verticals and markets, taking the order backlog up 59% year -over-year to INR15,719 crores and off ering a strong revenue visibility for financial year '27.
Now as I go deeper into standalone performance starting with Q4, the aggregate sales for the

quarter was high at INR3,129 crores recording 22% as mentioned earlier. Profit after tax was higher at a growth of 49% at INR412 crores, which is 13.2% of sales as against INR275 crores which was 10.7% of sales in Q4 financial year '25. Return on capital employed for the quarter was at 27% and order intake for the quarter was INR4,505 crores, which is 23% growth year -over-year, and unexecuted backlog at a closer of financial year ‘2 6 was at INR15,719 crores which is 59% up year -over-year.

Now going further deep into standalone performance for financial year ‘2 6, the sales was at INR11,331 crores with a growth of 21% year-over-year. Profit after tax (before EI) was higher at 39% at INR1,352 crores which is 11.9% of sales as against INR974 crores which was 10.4% of sales in financial year '25. Return on capital employed for the year was 22%. Order intake for the year was INR17,574 crores which is 30% growth year -over-year, and unexecuted order backlog as of close of the

financial year was at INR15,719 crores which is 59% up versus the last y ear.

Now moving to the sector -wise or the segment -wise performance starting with Industrial Systems. While performance for Q4 continued on a sequential upward trajectory despite volatility and the rising commodity costs, the aggregate sales for the quarter Q4 was at INR1,643 crores, which is 5% year-over-year up with robust double -digit growth in motors, which for the last few quarters you must be hearing me saying that we have stabilized a lot and the team is doing a fantastic job to stabilize that.

So that has started showing the results there. PBIT was at INR157 crores, 9.6% of sales as against INR176 crores, 11.2% of the sales in Q4 '25. Margin deviation is due to the mix change and the competitive pricing in railways business as well as higher MSR for motors due to commodity impact. But the disciplined pricing along with focused efforts on efficiency gains via cost and productivity pr ograms over the last few quarters helped partially mitigate this adverse impact. Business continues to prioritize m argin expansion through ongoing cost initiatives, structural improvements, pricing, and mix shaping.

We have improved margins by 20 basis points sequentially and the order intake for the quarter was INR1,478 crores and the unexecuted order backlog towards the closure of the financial year was at INR3,075 crores. Healthy growth in orders and order backlog in motors and drives also has a contribution towards this.

And when we come to the full year performance, the sales for the year was INR6,197 crores which is 6% up year-over-year with a healthy growth primarily in motors. And PBIT was at INR613 crores which is 9.9% of the sales as against INR707 crores, 12.1% in the previous year. And that's a margin deviation that you see here is due to the mix change and the competitive pricing in railways business and a bit of impact from us consciously slowing down because of the tariff impact from some countries that we had, so that was a conscious effort to delay that. Then disciplined pricing along with focused efforts on efficiency gains via cost and productivity program s over the last few quarters had helped partially to mitigate the adverse impact. And business continues to prioritize margin expansion through ongoing initiatives and structural improvements with pricing and mix shaping. The order intake for the year was I NR6,365 crores and the unexecuted order backlog as of close of the year was INR3,075 crores and a healthy growth in order backlog in motors.

Now if I go to the other segment which is the Power Systems, the performance continued upwards trajectory with the sustained margins and continues to be in Q4, underscoring the robust market dynamics with disciplined execution. The aggregate sales for the quarter was at

INR1,487 crores with a jump of 50% year -over-year reflecting strong execution discipline. PBIT was at INR354 crores at 23.8% of sales as against INR208 crores which was at 21% of sales in Q4 FY25, and significant 287 basis points margin expansion underpinned by efficient order execution and strong operating leverage . Order intake for the quarter was INR3,027 crores, which is 72% growth year -over-year, and unexecuted backlog as on 31st of March 2026 was INR12,644 crores, 91% up year -over-year, offering revenue visibility spanning several future quarters.

When we consider full year performance for Power, the aggregate sales was higher at INR5,138 crores with a rise of 46% year-over-year reflecting a strong execution discipline. PBIT was at INR1,123 crores, 21.9% as against INR668 which was at 19% of sales in financial year '25, which again comes to 281 basis points of margin expansion and underpinned by the efficient order execution and strong operating leverage. Order intake for the year was at I

NR11,210
crores, 69% growth year -over-year, and unexecuted backlog as on 31st March 2026 was INR12,644 crores which is 91% up year -over-year, offering revenue visibility spanning several future quarters.
With this, we conclude deep dive into our standalone performance and I will now move to the consolidated performance. And as you know consolidated results includes the performance of our operating subsidiaries in Sweden, Germany, Netherlands, (Drives & Automation Europe) and CG Adhesive Products, CG Semi Private Limited, G.G. Tronics , Axiro , and other non - operating subsidiaries.
Starting with Q4 performance, aggregate sales for the quarter were up at INR3,442 crores at a growth of 25% year -over-year. Profit after tax was 32% higher at INR362 crores which is 10.5% of sales for the quarter as against INR274 which was 10% of the sales in Q4 last year. Margin gains driven by strong performance were offset by continued investment in talent pool for semiconductor business and total semiconductor segment impact of INR38 crores, which is 110 basis points. Return on capital employed annualized for the quarter was 24%. Order intake was INR5,335 crores 39% growth year -over-year for the quarter and unexecuted order backlog as on 31st of March 2026 was 61% year -over-year at INR17,107 crores.
And when we consider our full year consolidated performance, aggregate sales for the year was INR12,418 crores with a growth of 25% year-over-year. PAT (before EI) was 27% at INR1, 232 crores , 9.9% of sales for the year as against INR973 crores which was 9.8% of sales in financial year 25. Margin gains driven by strong standalone performance were offset by continued investment in the talent pool for semiconductor businesses (total semiconductor segment impact of 111 Cr, 89 bps) as mentioned before . And return on capital employed for the year was at 20%. Order intake for the year was INR19,616 crores, 33% growth year-over-year, and unexecuted backlog as on 31st of March 2026 was 61% up year-over-year at INR17,107 crores.
Now moving to the key events for the last financial year. As you would have seen we had announced that we have bagged an order for the supply and servicing of 765 kV transformer packages 7TR-12 Bulk from the large customer Power Grid Corporation . You know that total

order value was about INR641 crores ($74M) is the highest single order domestically received in the transformer business in CG. The order expected to be completed between 18 to 36 months.
And CG secured the single largest order of INR244 crores for EHV business from Techno electric for supply of instrument transformer, circuit breaker, lightning arrest ors.
And CG also launched successfully and completed QIP of equity shares and raised INR3,000 crores. The issue opened on 30th June, 2025 and closed on 3rd July, 2025 . It was oversubscribed by >3x and saw participation from both Indian and global marquee investors.
CG Semi Pvt. Ltd. ("CG Semi") , a subsidiary of CG, unveiled one of the India's first end -to-end OSAT facility in Sanand in Gujarat on 28th August 2025 . With this launch of G1 facility , CG Semi becomes one of the first full - service OSAT providers offering solutions across both traditional and advanced packaging technologies. This marks a major step in strengthening India's semiconductor capabilities and supporting the country's goal of becoming self -reliant while also serving global markets. The G1 facility will operate at a peak capacity of half a million units per day, which we are trying to even increase that output . We should be in that situation. over the next few months or quarters .
And G2 facility located about three kilometers from G1 is under construction expected to be completed by end of the calendar year 2026. Once operational, G2 will scale up to the capacity of approxi

mately 14.5 million chips per day. Together, the two facilities are projected to generate about 5,000 direct and indirect jobs in the coming years.
CG Semi is also eligible for Capital Assistance as per the scheme for setting up OSAT facility launched by India Semiconductor Mission, ISM, under the Ministry of Electronics and Information Technology vide approval dated 8th March 2024. The approval covers a five -year period from financial year '24-'25 to '28-'29 for a total project cost of INR7,584 crores with central government assistance of INR3,501 crores and additional state government support equating to 40% of the central government assistance coming to about INR1,400 crores. The fiscal support agreement was signed on 17th January , 2025 and the trust and retention account agreement was signed on 15th September , 2025.
The board of directors on 29th October '25 approved a greenfield expansion for switchgear business with an investment of INR748 crores (net of taxes). The expansion is proposed

considering the expected increase in demand for medium voltage and extra high voltage circuit breakers, instrument transformers, gas insulated switchgears for domestic and also for export market s.
CG secured about INR900 crores ($99.2M) worth of power transformer export order from one of the US customer, which was a substantially large one. It's for the data centre in United States. The order was received on 16th of January 2026 and is the largest single order received by CG for supply of power transformer s. And under this contract , CG will supply the power transformers specifically engineered to meet the stringent reliability, efficiency, and uptime

requi rements of hyperscale data cent re applications. This order will be executed for a delivery period of 12 to 20 months with the delivery t erms of FAS Mumbai port (Incoterms® 2020) ..
The board of directors of the company at its meeting held on 27th January , 2026 considered and approved the payment of interim dividend of INR1.3 per equity share, i.e. 65% of the face value of INR2 per share for financial year 25 -26. With this, I conclude my opening remarks and audited financial statements with detailed notes are available as part of stock exchange filing and on our company website. Thank you so much for listening in and over to yo u Renu for Q&A.
Moderator: Hello Renu ma'am?
Renu Pugalia: Yes, can we open the session for Q&A please?
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Ankur Sharma from HDFC Life. Please go ahead.
Ankur Sharma: Yes, hi sir. Good afternoon. Thanks for the opportunity. I had three questions. First, it's good to hear that you know that we finally seeing double -digit growth in motors. Just wanted to understand you know how much is volume g rowth and how much is price led? Also you know given the current inflationary environment, how much more of price hikes you know would you intend to take in the motors side of the business?
Amar Kaul: Sure Ankur, I think great question. So on the motors side, I would say it was a combination of the price increase that we got from there from the customers and a combination I would say about 50 -50% of both and the volume hike as well. So the volume hike i s almost in sync with the market growth that we have seen but also we didn't let our , you know pricing leakage also to happen from there.
Ankur Sharma: Okay. And how much more do you think you may have to take, I mean how much you know to cover the current increases?
Amar Kaul: We keep a laser sharp eye on, focused eye on the commodity inflation the way it is happening because it's a little tricky for motors or drive business versus some of the large long lead item because where you get the PVC. So here we keep a laser sharp focus on h

ow it is going or the
projections on that and basis that we take the decision case to case basis. Maybe it is not required but what we are also honing our skills on is the pricing discipline you know how do we make sure that we are not having the leakage for by givi ng additional discounts. So I think that's another thing that we are working closely on.
Ankur Sharma: Okay. Fair. Fair. Okay. A second question sir would be on the power product, the orders. You know while it's very , very strong given we got this INR90 0 crore s order for the data cent re but if I exclude that and I look at the domestic orders you know that's up about 2 0% you know X of that data cent re order, you know it was up about 16% last quarter.
Sequentially, we are in that INR2,000 crores to INR2,200 crores ballpark. So you know just trying to understand is this like the most sustainable kind of growth rate that we should be kind

of expecting in that 15 % to 20% ballpark as we head into next year? Obviously, the base also starts catching up. Just your thoughts on the overall you know trajectory here on the domestic transformer power products business?
Amar Kaul: So I think Ankur the , you know if I had to give a short answer, the game is just started. So INR900 crores is what we had to report because it was a substantial order that we have but after that also the tap is open and as you know we put our feet on the ground outside India as well, anything we touch you know it just opens up.
So there's so much of opportunity available for everybody. You just need to know how to encash on it, how to make sure that you execute with the right quality, right standards, right reliability.
I think that's what will be the differentiation, nothing else. And if you shoul d have the appetite on that. So, so I'm not going deeper whether it's transformer or it's switchgear but I think overall

for power we see a still see a huge demand all over the world.
Ankur Sharma: No fair. I understand excluding of India , but the account specific of India is what I was talking about. How would you see the Indian power product you know market shaping up as you head into next couple of quarters?
Amar Kaul: Yes, that's also growing at a very, very fast pace you know in fact as we are adding if you see just one year back we were at some 18,000, 17,000 MVA capacity for transformer, today we are almost close to 65,000 MVA . That I don't think anybody has done that kind of increase and still we feel as we meet the large customers or even the government companies in the utili ty sector what we keep hearing, give us more, give us more . I don't think anybody is saying stop it. So I think it's a good it's like Amrit Kaal for power sector in India as well.
Ankur Sharma: Okay. And just one last one is on the balance sheet. You know I see this item called other financial assets totalling almost INR3,000 crores you know in Q4. Can you just help us understand , what is that?
Susheel Todi: Ankur, you know the QIP money which has come up so it is parked into the different asset class.
Ankur Sharma: Ah, got that. Great. Okay, got that sir. Thank you so much. Yes.
Moderator: Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.
Mohit Kumar: Yes, good afternoon sir and thanks for the opportunity. My first question is can you help us with the G.G. Tronics order inflow and how did the year panned out in terms of revenue, EBITDA, and PAT and how do you see the order outlook in the segment here?
Amar Kaul: Yes, Mohit. So I think G.G. Tronics if your question is specific to the order book, I think it's pretty strong right now. I think the order backlog should be the tune of close to INR1,000 crores approximately. So right now you know if the second question might come for you know how , when do we start exec

uting? We are at the last leg of the approval process which is the passenger

trials which is already going on. So there are about as of today morning, 12 trials have already been completed and so I think maybe another month, month and a half all these trials should be done. So then we start executing.
Mohit Kumar: And how , what was the last year revenue EBITDA and PAT if the number is available with you, available?
Amar Kaul: You mean for GGT or what?
Mohit Kumar: G.G. Tronics, G.G. Tronics. Yes.
Susheel Todi: What is your , what is your question? Sorry?
Mohit Kumar: My question is what was the revenue and profitability for the G.G. Tronics especially?
Susheel Todi: Oh, so they are at I think , at INR100 crore s at a full year basis and they are making money, they are not losing the money. They are at you know at least around INR3 crore s to INR 4 crore s PBT number.
Mohit Kumar: My second question is can you help us with the understanding the receivable jump in receivable which was INR2,000 crore s last year? I think it has jumped to INR2,900 crore s if I'm not wrong. So it's up by around maybe 50% while the top line is up by 20% odd.
Susheel Todi: No, you are talking about the trade receivables? Only trade receivables?
Mohit Kumar: Yes. Yes. Yes.
Susheel Todi: Okay. So you look at that the growth which is coming mainly in the power segment, right? So if you look at even that the return of capital employed on the power side is more than 100% plus. So the receivables which are there today it's coming more from the power side and the average credit period is ranging between 90 to 100 days.
Mohit Kumar: Understood. Understood. Okay. Thank you sir. That's all.
Moderator: Thank you. The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.
Harshit Patel: Hi sir. Thank you very much for the opportunity. Sir, firstly on motors, what would be the mix of IE3 and above in our overall FY 26 volume and where do you see that growing in next 2 to 3 years? Does this change in mix help our margins or this change in mix will be margin neutral?
Amar Kaul: So the specific I'm not allowed to give exact numbers of IE3, IE2, IE 4 numbers but I can tell you it i s not very substantial at this point of time because even though we talk about energy efficiency but Indian market is a bit slow on adoption of IE3, IE4, IE5 technologies.

But I'm sure it's going to pick up in next couple of years as government is tightening and the

need for energy is increasing further so and our R&D and development is also accelerating the same you know to complete , to have the complete portfolio of IE3, IE4 motors. So that is progressing well. So to your question to be specific it's not very big in terms of the percentage of the overall portfolio because of market side, not because we cannot supply.
Harshit Patel: Understood sir. Secondly on the GIS, we were in the development stage for 44 0 kV GIS. So if you could share an update on its commercialization and also the developm ent plans for 765 kV GIS if any?
Amar Kaul: So Gaurav you want to pick up that question?
Gaurav Makhija: Yes, sure Amar. So thank you for that question. So for 400 kV GIS the plan is exactly on the schedule there. We have already tested the phase one of our GIS portion. The phase two is scheduled between quarter two and quarter three. So yes, once we have the ty pe test done in any of these international labs we should be out with our commercialization for 400 kV GIS. Yes, further to that 765 kV is on the conversation there. Yes, so 2027 financial should see the commercialization happening for 400 kV GIS.
Harshit Patel: Understood. Sir, lastly if you could share an update on the drives business in terms of how

much
sales, assembly, value addition, localization that we are now doing in India?
Amar Kaul: So drives I think there's a series of new product launches that is planned from April onwards. It’s already started getting launch you know it's called AMX Drives which is the next generation drives and again low voltage drives and medium voltage the percentage is not so high but low voltage drives is almost 100% indigenous.
Moderator: The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.
Sumit Kishore: Thanks for the opportunity. Phenomenally strong results in Power Systems. Could you give us an update on the power transformer capacity expansion how that's panning up and what are the sort of the timelines as you add capacity and reach your target?
As a second question is on the export business within CG. So what has been the scale or size of exports, overseas revenue separately for Power System s and Industrial Systems in FY 26 and what is your outlook for growth through FY 27? What are the opportunities that you are pursuing? Those are my questions.
Amar Kaul: So Ajay if you can take the first question in terms of transformer capacity and then send it back to me for the exports I will answer.
Ajay Jain: Thanks Amar. Thanks for the question. Regarding the transformer capacity addition, we have completed the brownfield expansions both in Gwalior and Bhopal. The Gwalior facility has now capacity increased from 6,000 MVA to 10,000 MVA and the Mandideep, Bhopal facility so there we have done capex and as per the capex plan the capacity is increased to 40,000 MVA

first and then we had our lean plans we worked along with the lean consultant and this capacity has grown to further 65,000 MVA at the end of the last year.
Now for the upcoming additions in capacity our Greenfield expansion – so Greenfield plant erection is in progress and we hope to commission the plant somewhere between July and August . And initially we will be starting with the capacity of around 25,000 to 30,000 MVA and by the end of this calendar year we will be touchin g the peak of 45,000 MVA there.
So as of now if we total up between Gwalior and Bhopal, we have a capacity of 75,000 MVA and another 45,000 MVA to be added by the end of this calendar year. So this will be around 1,10,000 MVA s by the end of this calendar year. So over to you Amar.
Amar Kaul: Okay thanks Ajay. And I think Sumit on your other question we would not give the split of exports by business but yes exports and services is a focus area for us. The only thing I can talk about is both the areas we have more than doubled our order booking s between last year and this year. So we have much larger aspirations , so more to come so stay tuned on it. Exports and services will stay as our key focus areas.
Moderator: Thank you. The next question is from the line of Atul Tiwari from JP Morgan. Please go ahead.
Atul Tiwari: Yes, so my question is again on the motors and drive business. So since the start of the war, I mean , because a lot of clientele we understand is SME and MSME. So how has the demand been for that part of your business where you sell stuff to SME and MSME?
Amar Kaul: So see in any case our -- for motors and drives our exports is not substantial today. So I'm keeping out our European business for drives because that is primarily the European plant which supplies to Europe as well as to US. That is going on that geography. So there's not any specifi c dip or anything that we see from these regions because of war or anything.
Atul Tiwari: But sir, what about in India? I mean, I believe you will be selling to small industries quite a bit right? Is the demand holding up in India or is there an impact on demand because of shortage of gas and increase in fuel price?
Amar Kaul: We don't see the dip in that. I

n fact, with our GTM getting activated now with the senior leaders
in place, in fact we see improvement in the order intake.
Atul Tiwari: Okay so good to know. And sir my last question is on again the transformer capacity. So currently operational 65,000 MVA. How much of it will be 400 kVA plus capacity or is it fungible across all the kVA ranges?
Amar Kaul: It is across all the ratings that we have. Even up to 765. In fact, we are now getting with the new plant coming in up to 1,200 also.
Moderator: Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.
Amit Mahawar: Hi Amar, I just had two quick questions. First is on the power side …

Moderator: Sorry to interrupt Amit sir. Your voice is very low. Can you just ge t the headset little bit closer?
Amit Mahawar: Is it fine now?
Moderator: Yes okay. You can go ahead. Thank you.
Amit Mahawar: First of all congratulations on great set of results. On the power business when you tap the American market beyond data centers for American grid utilities ?
Amar Kaul : Yes Amit. I couldn't hear you. You will have to come close to the mic.
Moderator: Sir, the line for Amit sir has been dropped. I 'll move for the next question. The next question is from the line of Aditya Mongia from Kotak Securities. Please go ahead.
Aditya Mongia: Congratulations to the entire team on a fairly strong set of results once again. The first question that I had from my side was, if you could give us a sense of the addressable market on the GIS side in the 475 kV category domestic overseas whichever we want to think through today, how do you think through the addressable market for yourself?
Amar Kaul : I think Gaurav, if you want to answer that, of course, not going too specific into the ratings, but you can generally talk about GIS market .
Gaurav Makhija : Yes. So not to get into a ny specifics of the details of G IS today. If you see the overall spread here today would stand close to about INR12,000 -odd crores as a market total rate of which I believe around 24%, 30% still would be GIS rest of them could be be an AIS figure so that's the quantum possibly a potential addressable market that we could also be aiming at in the future.
Aditya Mongia: Sure. understood. And I am assum ing this is the domestic part. Is that also an overseas part that you believe can fall inside our kitty?
Gaurav Makhija : Yes. I think Amar mentioned, I thin k exports as well as service remains our key focus. So whatever we are developing or whatever is under the plan is both for domestic as well as exports for product development, whether it's a 145 kV GIS ranging to 170-245 as well as 400 are under plan for both domestic and international markets now.
Aditya Mongia: Understood. One of your peers was talking about in the similar zone that you are in terms of capabilities was talking about moving on the HVDC side of things. Is there a plan that the company has? And what are the key milestones certain have to achieve to kind of reach that level of capabilities here?
Amar Kaul : Yes. So we're still at the infancy stage. We have laid down a bit of road map on that, but the plan is not fully mature. So when we are ready for it, we'll surely share.
Aditya Mongia: Sure. Maybe the final question from my side, which is more on the semiconductor part. You made a recent investment of INR50 crores in EdgeCortix . Could you talk a little bit more about

that and how to think through investments inside semiconductor design from there on? Maybe a little bit more on the medium -term basis there? Thank you. That will be my final question.
Amar Kaul : This is just one of the steps that is into this direction, you must have heard me every quarter in the earnings call or any of the

interactions that -- can you hear me? Okay. So , let me repeat. So
what I was saying is that -- so these investments, as you would have heard me in the last couple of quarters that we are looking at the retail pipeline of candidates on potential M&A to keep building on our design capability.
So the first step was on our design capability, but that's not where Axiro stops . So the investment that you see is just one step forward in that direction and especially with AI coming in, that's so much every day the technology is changing. So you will see more and more of these investments coming into even the start -ups or these kind of companies where we will get to have the latest in the world that is happening. So more to come on that .
Moderator: The next question is from the line of Rahul Gajare from Macquarie Capital . Please go ahead.
Rahul Gajare: Hi Amar. I have a question on motors. So on the motor, is it fair to say that the worst is behind and we can see improvement in growth and margins from here? And also, I think you've talked

about this earlier, where you've taken some price hikes but through the last entire year, how much price side did you actually take? And your comments on competitive intensity and market share in the motors? That's the first question.
Amar Kaul: Okay. Super. So I think to start with the question was how much price increase did we take, is about all put together, it was 7.5%, so in total of 17.5% price increase that we did in the last 3 to 4 quarters and with decent realization. The good news also is that the team le d by Jatinder who leads this business is -- they have kind of maintained their market share in spite of such a steep price hike. I generally say that we are blessed to be the market leader. So the moment we do something like this, so everybody has followed us. So that's what has happened in that direction.
Rahul Gajare: And to quantify that, that will be in the range of 33 -odd percent market share?
Amar Kaul: Yes, it depends on different types. So if you look at overall LT motor side, we will be approximately 38% - 39%. Approximately, if I go to larger industrial motors, it will be around 19%- 20% approximately.
Rahul Gajare: Okay. And fair enough. So that's on the motors. Now on the Power, I want to understand the order that you've got from the data center that actually indicated that delivery time anywhere between 12 months to, I think, 18 or 20 months. Is that the quickest you can deliver or transform into the US market? Or you think you can do it much faster?
Amar Kaul: Ajay you want to answer that?
Ajay Jain : I see the delivery of trans formers for the US market basically depends upon the delivery of the components like tap changer and bushings. Even though we can manufacture a transformer earlier than that, but we will always be dependent on the tap changer deliveries which come from

Germany. And they are anywhere between 9 to 12 months. So as of now, we are constrained, we can deliver from 1 2 month onwards only because of this reason.
Rahul Gajare: Because I understand, Koreans can actually deliver in closer to 10 months. You know, that's the reason of this question. My last question is on the semiconductor business. You know, while you did indicate that the chip revenue will start in two quarters, the INR500 crores which is currently booked into the financials, all of that is design -led revenue or there is some other part in that revenue? That's my last question. Thank you.
Mod erator : Mr. Rahul, you can go ahead with your last question again, please. Thank you.
Rahul Gajare: Yes, I don't know if you heard the question or I will repeat the question.
Amar Kaul : Yes, please. Yes, Rahul, because the line got disconnected.
Rahul Gajare: Yes. So, my last question was on the semiconductor. Now, you have indicated th

at, the
semiconductor chip revenue essentially will start in but two quarters or so. So, I want to understand, you know, the INR500 crores which is booked into the financials, all of that is design -led revenue or there is something else in that INR500 crores?
Amar Kaul : Which INR500 crores you're talking about?
Rahul Gajare: You know, the segmental breakup that you'll give of the revenue over there, for the full year, the number is INR500 crores. So, I just wanted to be sure what exactly is that number?
Susheel Todi : This is the revenue which is coming that, the company what we bought from Ren esas, the RF business from the Renasas,
Rahul Gajare: So, RF and design, these are the two things?
Amar Kaul : Not two things. Axiro is the name of the company that we created. RF business is what we bought from Ren esas and that is what has started generating the revenue. So, I think, ye s, it's about 65 million was the plan. So, which comes to about INR500 crores. You're right. So, Yes, because it is a running operational company. So, that is the number you would have seen there.
Moderator: Thank you. The next question is from Amit Mahawar from UBS. Please go a head.
Amit Mahawar: Yes Hi, Am ar. Amar, first question is on the power system exports. How do you see the timeline for the grid utility approvals for us now that we have data center orders basis, maybe the quicker timeline . How soon can we expect the grid utility turnaround for us on orders? That's the first question.
Amar Kaul: Grid utility, you mean in terms of supply or approval process?
Amit Mahawar: Yes, in terms of approval and potential orders from the American grid utilities. Is it more like six to 12 months or a longer period and some contours around that?

Amar Kaul: So, it purely depends on you know what we're talking about like you know America works very differently than the way we work in India. So, America there are 478 utility companies because

every area is divided and even if I take top 100 utility companies th at amounts to about 70% - 75% of the total revenue so every utility is pretty independent. So, and everybody has different timeline so you cannot categorize in six months or one year or three months or five years. It will vary from utility to ut ility.
Amit Mahawar: Sure. And the second question is on industrial segment. You know we have a very , very formidable competition you know from maybe the likes of Nidec or W EG etc. Some of them are very , very aggressively expanding their manufacturing footprint in India.
So, my question is more on in fiscal '27 do you think the delta for us on profitability and growth is more on the rail part of industrial as we execute the propulsions and the G.G. Tronic's book? Or do you think industrial motors also will contribute significantly to profitability in '27 or that's the year where you know we still not hopeful on the motor's profitability. Some color on you know industrial versus rail profitability in '27? Thank you.
Amar Kaul: So, I think it's these are different verticals under the segment of industrial. You know rail is a separate vertical you know which is led by Dhananjay. I think he's doing some good work there to turn it around to make sure that it's coming to much bigger number the way Jatinder did turn around for the motors business, so which is doing fairly well.
So, I'm sure railways also in next few months or quarters should be inch ing upwards. So, it's a combination of both. And to your question on competition with the biggies and all and that's fine I think competition is always healthy because that keeps us on the toes.
So, we are just honing our skills on keep building NPDs, you know build our design capability, and also make sure that we are cost competitive, not cheap but cost competitive so that we continuously keep eliminating

the waste from the system. So that's the ongoing effort.
Amit Mahawar: Sure. Thank you, very much and good luck.
Moderator: Thank you. The next question is from the line of Girish from Morgan Stanley. Please go ahead.
Girish: Hi sir, thanks for the opportunity. I had a question on railways excluding -of G.G. Tronics . So, what's been the growth rate in revenues for FY26 and also if you can share any outlook on this piece of the business?
And second, I wanted to understand the pipeline for US transformers if you can share any qualitative color around how things are I know you spoken about it in the past but any L1 status here or how does it work there like what's the size of the opportunity that you are looking at in the medium term? And the final question was on capex if you can just color what will be the FY27 and FY28 capex numbers?
Amar Kaul: So, I think you're supposed to be limited to two questions, three -four questions you've asked so but anyway let's let me go one by one. So, which one do you want me to answer first?

Girish: So, you can take up railways and then transformer for US and then capex?
Amar Kaul: So, railways is so your question was specific to G.G. Tronics . So G.G. Tronics as..
Girish: Excluding of G.G. Tronics what's the growth sir and outlook for that excluding of G.G. Tronics?
Amar Kaul: Except.
Girish: Yes, except G.G. Tronics. Excluding G.G. Tronics ?
Amar Kaul: Yes. So, the breakup we don't give, it's part of industrial business. So, we are not allowed to give the breakup of each of the businesses.
Girish: I was looking for growth rate sir and the outlook ?
Amar Kaul: Yes, that's what I'm saying we don't go specific to each of the business lines in the business. So, if you talk about industrial or something then we can talk about it but we don't go deeper into each of the businesses.
Girish: Okay, if you can share some perspective on railways outlook ?
Amar Kaul: Yes, so railways I think maybe Dhananjay if you can give just a flavor of you know how do you look at the market and your key one or two initiatives there without getting too deeper into numbers or anything.
Dhananjay Bapat: Yes, thanks Amar. So, on railways yes, we see a sizeable potential with some of the new products that we are working through. In addition to that we also see some good opportunities on the export side which we have still to explore long way to go and then on the service side is another area where we see good potential for you know high double -digit growth there and then of course helps us improve our profitability and margins on that. Thank you.
Amar Kaul: Good. Thanks Dhananjay.
Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.
Parikshit Kandpal: Congratulations on a great quarter. My first question is on the margins. So are we facing any impact of the geopolitical issues currently there on the margins and have we been able to pass on the commodity price impact to the customers, any impact on the tr ansformer oil prices impact

on margins or bushings etc .? Specifically, if you can give some color on the margin on the Power Systems business and going ahead how do you look for FY27 do we see further expansion in this business margins ?
Amar Kaul: So, thank thanks for the question. So, I think a lot of your questions have already been answered. One is the numbers if you look at Power Systems if there was stress on the margin then it would have shown up in the numbers, right?

So, if we are doing better by 200 to 300 basis points on each of these segments so that means the margin pressure is taken care of and this margin pressure is not only from what we get from the customer it's als

o how operationally efficient we are becoming . So, I think that's the critical thing and that's the edge that we have from CG point of view. So that's one. So, what was the second question?
Parikshit Kandpal: I was asking largely on how the commodity inflation hitting us and are we being able to pass it on to the customers. So, is it entirely pass -through or will we see some impact in Q1 coming in on the residual order book which we have which may get hit becau se of the commodity inflation ?
Amar Kaul: So, that is a simple you know different businesses different areas so like I talked about motors we discussed just now a few minutes back is most of it we have been able to pass on with steep increase in the pricing.
For other large businesses it's really not a problem you know for example transformer or rest of the large businesses because you always have the price variation clause with the customer. So, whenever commodity goes up and down it gets passed on to the cus tomer.
Moderator: The next question is from the line of Shirom Kapur from Jefferies. Please go ahead.
Shirom Kapur: Hi sir, thanks for the opportunity. Just had a question so export while you don't give the breakup between industrials and power systems could you share what is the overall contribution to your consolidated sales of exports this year?
Amar Kaul: It's right now I think it's very small it's about 5% approximately but again the aspiration is to be in the much larger like as I said you know we kind of more than doubled in this previous year and this year we are taking much more ambitious targets so st ay tuned on that.
Shirom Kapur: So, I mean in FY25 we saw exports contributing about 10% you're saying it's smaller at about 5% - 6% now so did we see some kind of decline?
Amar Kaul: No. It was never 10%.
Shirom Kapur: Sorry .
Amar Kaul: It was never 10%.
Shirom Kapur: In the overall consolidated mix ?
Susheel Todi : Yes, so if you include the Sweden, Germany, and Netherlands it can go up to 8% to 9% but if you talk about from India to outside country it is around 5% to 7%.
Shirom Kapur: Understood, sir. And just my second question is on you know your railways business you know while you highlighted that you don't give the breakup between railways and non -railways could you give some direction in terms of you know margins on the railway business because you been

mentioning some kind of pressures because in the competitive railway business so how do you see margins tracking going ahead?
Amar Kaul: Yes, so that's what I said and I think Dhananjay touched a bit on you know how he is prioritizing and as you know in India railways you won't be able to get too you know too big a margin.
Important is your operational efficiency and second lever that Dhananjay has already activated as a part of overall theme I mentioned is services.
So service is going to be a big function of us and he's already created that vertical and is getting driven so that will give us substantial increase in our margins but again it doesn't happen tomorrow it takes a bit of time but he's executing it fairly we ll.
So that's another lever and last one I would say is also on the NPD that's where the activation is on the R&D to get more and more new products that helps us to become more competitive.
So, these are some of the high-level actions being taken to continuously move this from single - digit margins to double -digit. I think that's the maximum I can reveal to you.
Moderator: Thank you. That was the last question for the day. I now hand the conference over to Renu ma'am for closing comments. Please go ahead.
Renu Baid Pugalia: Thank you Jitesh On behalf of IIFL Capital, I'd like to thank the management of CG Power for taking the time and discussing the results with us. Sir, any closing comment that y

ou would like
to make?

Amar Kaul: So, thank you Renu and thank you everybody. I know there's a large crowd here and interesting questions. Thank you, stay tuned with us. I mean there are exciting days and months and years ahead of us. So, thank you for your time with us and appreciate it. Have a good rest of the day. Cheers.

Moderator: Thank you. On behalf of IIFL Securities, thank you for joining us and you may now disconnect your lines.